DBS Flash

Singapore: Firm growth despite geopolitical turbulence

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Chua Han Teng, CFA
Senior Economist
hantengchua@dbs.com

- *Advance real GDP growth in 2Q26 stayed well above trend at 5.7% yoy and 1.1% qoq sa.*
- *Strong AI-driven trade-related growth, which outweighed energy headwinds, should sustain in 2H26.*
- *Modern services will remain a key anchor, with notable resilience in financial services, alongside construction tailwinds.*
- *While we expect overall resilience, we continue to monitor downside global uncertainties arising from developments in the Middle East.*
- ***Forecast implications:** We maintain our 2026 real GDP growth forecast at 4.3%.*

Robust growth in 2Q26

Singapore's economy remained resilient in 2Q26 despite the shock stemming from tensions in the Middle East. Advance estimates showed real GDP growing well above trend at 5.7% yoy and 1.1% qoq sa in 2Q26, compared with the upwardly revised 6.3% yoy and 1.3% qoq sa in 1Q26. This translated to strong expansion of 6.0% yoy in the first half of this year, and **we expect positive carryover effects in 2H26.**

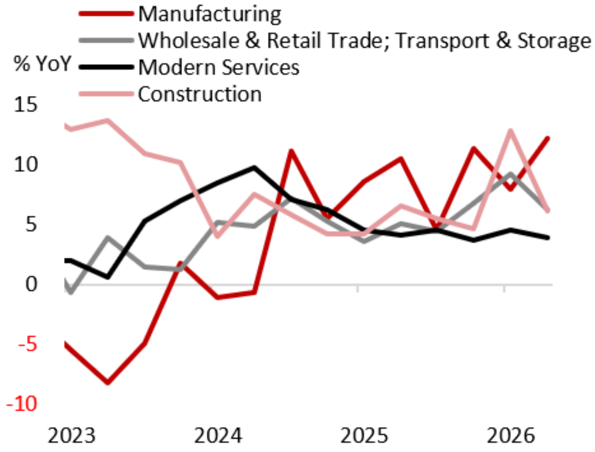
We maintain our 2026 real GDP growth forecast at 4.3%. We expect the positive trends observed in 2Q26 - robust trade-related performance, resilient modern services expansion, and sustained tailwinds from domestic construction - to continue in the next few quarters, although the overall GDP cycle is likely to moderate from its blistering pace, partly due to high base effects. Singapore's economy should remain resilient, although we continue to monitor downside uncertainties posed by a fragile US-Iran truce and a shaky interim peace deal, considering renewed strikes in recent days. A renewed complete blockage of the Strait of Hormuz, coupled with prolonged elevated global energy prices, would pose a material threat to both global and Singapore's growth prospects.

Real GDP growth by sectors

	1Q25	2Q25	3Q25	4Q25	2025	1Q26	2Q26*
% YoY							
Overall GDP	4.5	5.4	4.5	5.7	5.0	6.3	5.7
Manufacturing	8.6	10.5	4.6	11.4	8.7	8.0	12.2
Construction	4.2	6.6	5.6	4.6	5.2	12.9	6.2
Services	3.5	4.5	4.3	4.8	4.3	6.2	4.6
% QoQ sa							
Overall GDP	0.6	1.8	1.9	1.3	5.0	1.3	1.1
Manufacturing	0.6	1.2	4.5	4.5	8.7	-2.2	5.3
Construction	-0.8	4.8	0.6	0.2	5.2	7.4	-2.1
Services	0.7	1.9	1.2	1.0	4.3	2.0	0.3

Source: MTI, CEIC, DBS. *:advance estimate

All-round resilient performance in 2Q26, despite moderation in some segments



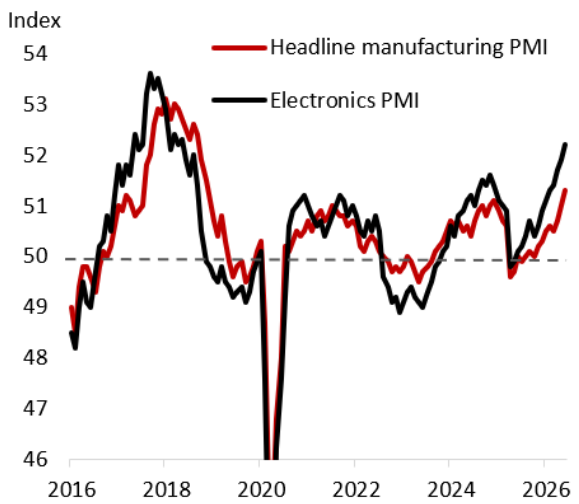
Source: CEIC, DBS
Note: Latest data is Jun-26 based on advance estimate

Stellar trade-related performance

Singapore's solid overall economic growth in 2Q26 was driven primarily by strong trade-related activity, supported by ongoing global artificial intelligence (AI) tailwinds, a trend that we expect to sustain in 2H26. Manufacturing growth accelerated to 12.2% yoy in 2Q26, marking the fastest expansion since 4Q21. The electronics and precision engineering clusters were the primary drivers of factory growth, outweighing contractions in chemicals and biomedical manufacturing, with the former bearing the brunt of feedstock shortages resulting from disruptions in the Strait of Hormuz. 'Wholesale & retail trade and transportation & storage' expanded by 6.3% yoy in 2Q26, easing from 9.3% yoy in 1Q26, but still exceeding the quarterly average growth in 2024 and 2025, supported by continued momentum in regional electronics trade.

The forward-looking manufacturing purchasing managers' index (PMI) for June 2026 points to a positive outlook for the manufacturing sector in the coming months, although performance is likely to remain uneven across clusters. Factory growth will continue to be led primarily by the strong performance of the electronics cluster amid robust global demand for AI-related products, such as memory chips and server-related products, as hyperscalers ramp up their AI infrastructure. Supportive momentum continued to be evident across several electronics sub-indices, including new export orders, orders backlogs, input purchases, and imports. Strength in regional electronics trade should also continue to generate positive spillover effects for Singapore's wholesale trade sector. Meanwhile, any recovery and rebound in energy-related segments will be gradual. given the ebb and flow of evolving US-Iran developments. Shipping confidence and the flow of critical input supplies transiting through the Strait of Hormuz, including oil & gas, will only gradually normalise to pre-war levels, even if recent escalation eases.

Strong electronics manufacturing sentiment

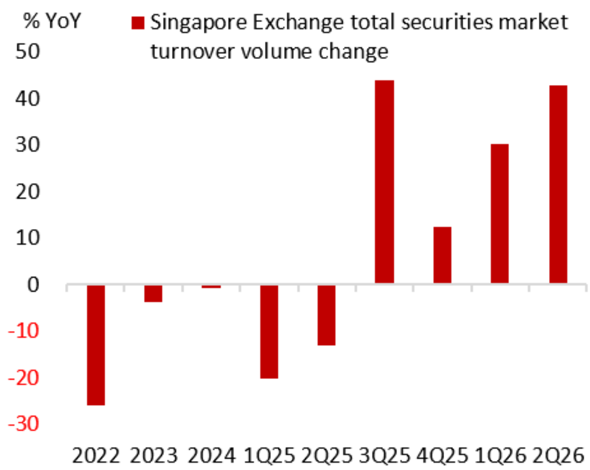


Source: CEIC, DBS

Resilient modern services and construction

The modern services cluster (comprising finance & insurance, information & communications, and professional services) grew by 3.9% yoy in 2Q26, extending the expansion of 4.5% yoy in 1Q26, providing a resilient anchor for Singapore's economy. Gains were broad-based across the group, and we continue to expect resilience in the financial services segment. Notably, financial services have benefitted from the backdrop of accommodative financial conditions over the past few quarters. Growth should remain supported by increasingly vibrant capital market activity backed by rising momentum in securities trading volumes, and a recovery in initial public equity offerings amid ongoing reforms, while financial market volatility creates opportunities for investors.

Equities market sees rising momentum



Source: SGX, MTI, DBS

The domestic construction sector grew by 6.2% yoy in 2Q26, moderating from an exceptional 12.9% yoy in 1Q26, but remained above the 5.3% yoy quarterly average between 2024 and 2025. Building activity was supported by both public and private sectors. We expect the ongoing multi-year boom, underpinned by sustained construction demand amid a steady pipeline of investments across transport, hospitality, and housing, to support growth in the coming quarters, notwithstanding ongoing challenges from higher construction input costs.

DBS Group Research

Economics & Strategy

Taimur BAIG, Ph.D.
Chief Economist
Global
taimurbaig@dbs.com

Mo JI, Ph.D.
Chief Economist
China/HK SAR
mojim@dbs.com

Nathan CHOW
Senior Economist
China/HK SAR
nathanchow@dbs.com

Radhika RAO
Senior Economist
Asean/EU/South Asia
radhikarao@dbs.com

Tieying MA, CFA
Senior Economist
North Asia
matieying@dbs.com

Han Teng CHUA, CFA
Senior Economist
Asean
hantengchua@dbs.com

Byron LAM
Economist
China/HK SAR
byronlamfc@dbs.com

Eugene LEOW
Senior Rates Strategist
G3 & Asia
eugeneleow@dbs.com

Philip WEE
Senior FX Strategist
Global
philipwee@dbs.com

Wei Liang CHANG
FX & Credit Strategist
Global
weiliangchang@dbs.com

Samuel TSE
Rates Strategist
Asia
samueltse@dbs.com

Sherilyn Chew
Multi-asset Strategist
Global
sherilynchew@dbs.com

Mervyn Teo
Senior Credit Analyst
USD, SGD, AUD
mervynteo@dbs.com

Dexter CHUN
Credit Analyst
USD
dexterchun@dbs.com

Tracy Li Jun LIM
Credit Analyst
USD, SGD
tracylimt@dbs.com

Ian Haan Chui
Credit Analyst
USD
ianchui@dbs.com

Amanda SEAH
Credit Analyst
USD, SGD, AUD
amandaseah@dbs.com

Teng Chong LIM
Credit Analyst
USD, SGD, AUD
tengchonglim@dbs.com

Joel SIEW, CFA
Credit Analyst
USD, SGD, AUD
joelsiew@dbs.com

Iris GAO
Credit Analyst
USD
irisgao@dbs.com

Lilian LV
Credit Analyst
USD
lilianlv@dbs.com

Daisy SHARMA
Analyst
Data Analytics
daisy@dbs.com

Violet LEE
Associate
Publications
violetleeyh@dbs.com

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DBS Bank Ltd., 12 Marina Boulevard, Marina Bay Financial Centre Tower 3, Singapore 018982. Tel: 65-6878-8888. Company Registration No. 196800306E.

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DBS Focus

Taiwan: AI cycle and 2H outlook

13 July 2026

Ma Tieying, CFA
Senior Economist
matieying@dbs.com

- *AI remains the central theme shaping the 2H26 economic outlook, particularly for technology-oriented economies such as Taiwan.*
- *The AI outlook is balanced between strong structural optimism and rising cyclical caution.*
- *Our monitoring indicators suggest that the AI supercycle is approaching a peak*
- *Notably, the semiconductor industry's current robust growth is being driven primarily by higher chip prices rather than stronger shipment volumes.*
- *Taiwan is expected to maintain above-trend growth through 3Q26, before economic growth begins to normalize from 4Q26 onward.*
- *Inflation is likely to remain sticky, reflecting delayed cost pass-through and recovering domestic demand.*
- ***Forecast implications:** We maintain our 2026 GDP growth forecast at 9.4% and adjust our 2027 forecast to 4.5%.*
- *We also revise up our CPI inflation forecasts to 2.0% for 2026 and 2.1% for 2027.*

Global backdrop

The global economy recorded steady growth with only a moderate increase in inflation during the first half of 2026. Although tensions in the Middle East triggered an energy shock, its impact was largely offset by the AI supercycle, which continued to support global trade, business investment, and household wealth.

Looking ahead to the second half of 2026, global growth is expected to moderate while inflation remains elevated. The AI supercycle appears to be approaching its peak, while the lingering effects of the earlier energy shock are likely to continue constraining growth and keeping inflationary pressures elevated.

Evidence suggests that the AI supercycle is entering a more mature phase. Recent developments indicate that growth in the semiconductor industry is increasingly being driven by higher chip prices rather than expanding shipment volumes. At the same time, the AI boom is contributing to inflationary pressures through several channels. Rising chip prices have increased production costs for consumer electronics, while substantial bonus increases announced by major semiconductor firms have raised concerns that stronger wage demands could spread to other industries, lifting inflation expectations. Meanwhile, the continued rally in global technology equities has boosted household wealth and consumer spending, reinforcing demand-driven inflationary pressures.

The effects of tensions in the Middle East are also expected to persist. Although oil prices have eased following the US-Iran ceasefire agreement in June, uncertainty remains over its implementation, particularly amid renewed conflict in recent days. Even if peace is maintained, energy logistics and supply chains are likely to require several months to fully normalise. Moreover, earlier increases in upstream energy and raw material costs have yet to be fully passed through to downstream prices, suggesting that additional inflationary pressures could still emerge in the coming months.

Trade policy remains another key source of risk to the global growth and inflation outlook. The US is expected to introduce a new package of Section 301 tariffs after the temporary Section 122 measures expire on 24 July. The proposed package is expected to include a forced-labour-related Section 301 tariff of 10–12.5%, covering approximately 60 economies, alongside an overcapacity-related Section 301 action affecting 16 economies, with differentiated tariff rates still under discussion. While the forced-labour-related measures are expected to largely replace the expiring Section 122 surcharge, the overcapacity-related measures could have more significant sectoral implications, particularly for steel, batteries, solar products, semiconductors, and automobiles. These tariffs could further disrupt supply chains, dampen trade, and add to inflationary pressures.

AI cycle

AI remains the central theme shaping the 2H26 economic outlook, particularly for technology-oriented economies such as Taiwan.

Structural optimism remains intact. **Current AI technology is still likely to be in its early stages of development.** While the first wave of adoption has been driven primarily by generative AI models, the next phase could be powered by broader capability expansion through agentic AI and physical AI. These technologies have the potential to extend AI adoption beyond content generation into autonomous workflows, enterprise automation, industrial applications, and robotics.

AI investment is also being supported by strategic considerations. Governments, hyperscalers, and enterprises face strong incentives to build AI capabilities. Competitive dynamics and geopolitical rivalry could therefore sustain AI-related capital expenditure, even if near-term monetisation remains uncertain.

Cyclical caution, however, remains warranted. Monetisation is the biggest uncertainty facing the AI cycle. The key unanswered question is whether future demand will be sufficient to justify the current pace of investment. While leading AI developers such as OpenAI and Anthropic remain private, major technology companies including Microsoft and Alphabet (Google) do not separately disclose AI-related revenue. As a result, investors still lack visibility into a fundamental question: how many enterprises and consumers are willing to pay for AI services, and whether such demand can ultimately support current investment levels. If commercialisation progresses more slowly than expected, excess capacity and capital misallocation could become significant risks.

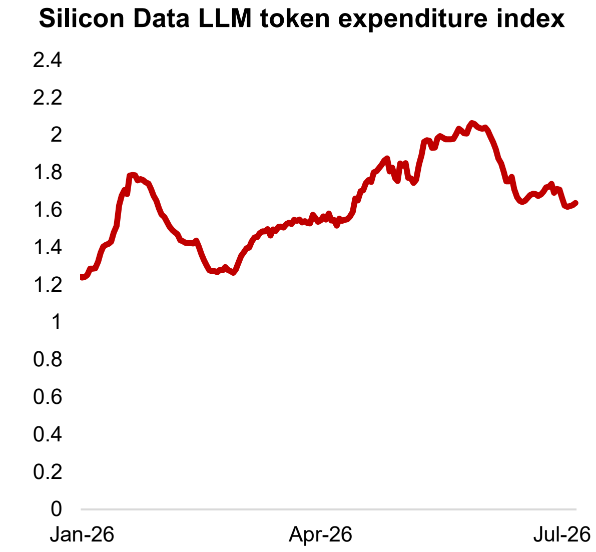
The AI investment cycle is also becoming increasingly dependent on external financing. Companies are relying increasingly on debt markets and structured financing to fund large-scale infrastructure expansion, while equity valuations have become more stretched. Tighter liquidity conditions and more restrictive financial conditions could create a negative feedback loop by slowing investment and increasing financial stress among highly leveraged participants. The IMF has highlighted neocloud providers as particularly vulnerable due to elevated leverage and weaker balance-sheet resilience (here).

Physical constraints may also become increasingly binding. The AI expansion cycle faces real-world bottlenecks, including electricity availability, land supply, and infrastructure capacity. Rapid growth in data-centre electricity demand is placing increasing pressure on power systems, while concerns over grid stability, environmental impacts, and AI-related labour displacement are gradually moving from public debate into policy discussions. This could increase regulatory uncertainty surrounding future data-centre expansion and potentially constrain the pace of AI infrastructure investment.

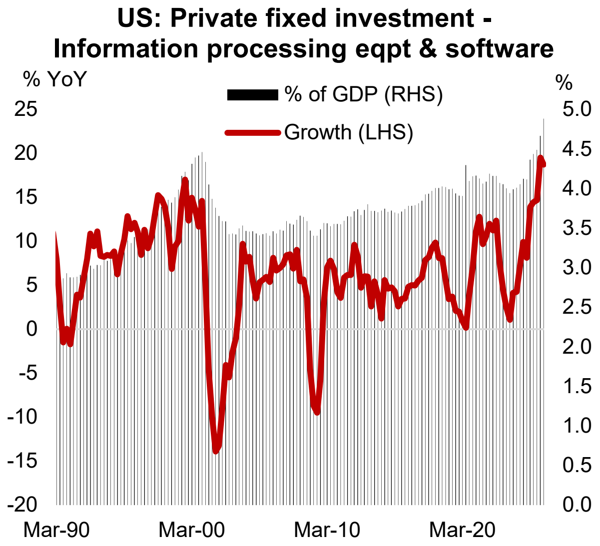
We monitor the AI cycle across three layers: AI token usage, hyperscaler capital expenditure, and semiconductor demand and supply. These indicators suggest that the momentum of the AI super-cycle is approaching a peak.

AI token usage: The Silicon Data LLM Token Expenditure Index has declined by 20% from its peak at the end of May. One interpretation is that enterprises are becoming more cautious, reducing AI budgets and delaying deployment, which would imply slower demand growth ahead. A more constructive interpretation is that companies are improving AI efficiency. The shift toward lower-cost models, open-source alternatives, and declining cost per token could allow overall AI utilisation to continue expanding even as measured token expenditure declines.

Hyperscaler capital expenditure: US private investment in information-processing equipment and software remains on a strong expansion path, with growth approaching 20% yoy in 1Q26. As a share of US GDP, investment has risen to around 5%, surpassing the peak levels reached during the late-1990s technology boom.



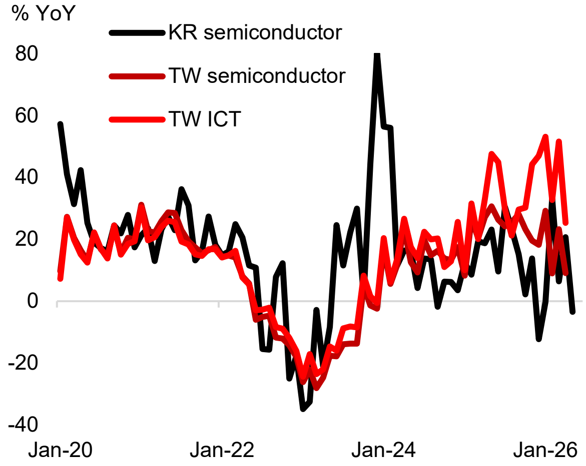
Sources: Bloomberg, DBS



Sources: CEIC, DBS

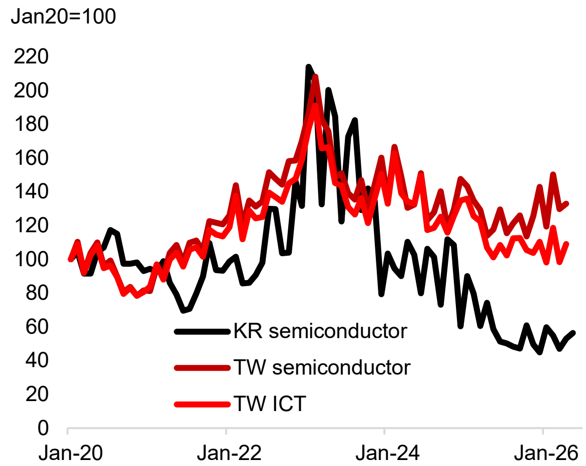
Semiconductors: Global semiconductor sales have continued to accelerate, reaching approximately 100% yoy growth in April and exceeding the peak growth rates observed during the 1990s semiconductor cycle. However, after adjusting for price effects, semiconductor shipments from South Korea and Taiwan have shown early signs of moderation, suggesting that underlying volume growth may be slowing. Inventory conditions remain relatively healthy. Taiwan's ICT inventory-to-sales ratio remains close to historical averages, while semiconductor inventory ratio in South Korea continues to decline. These trends suggest that the industry has not yet entered a broad-based inventory correction.

South Korea & Taiwan: Semiconductor/ICT shipments



Sources: CEIC, DBS

South Korea & Taiwan: Semiconductor/ICT inventory to shipment ratio

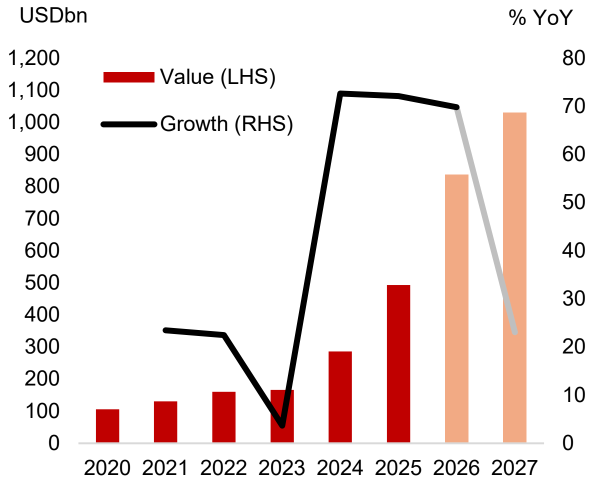


Sources: CEIC, DBS

Outlook: Global hyperscaler capital expenditure is expected to remain exceptionally strong in 2026 before gradually normalising in 2027. According to Bloomberg and TrendForce estimates, aggregate spending could reach approximately USD830 bn in 2026, representing a third consecutive year of around 70% yoy growth. Spending is expected to exceed USD1 tn in 2027, while growth momentum is projected to moderate to around 23%.

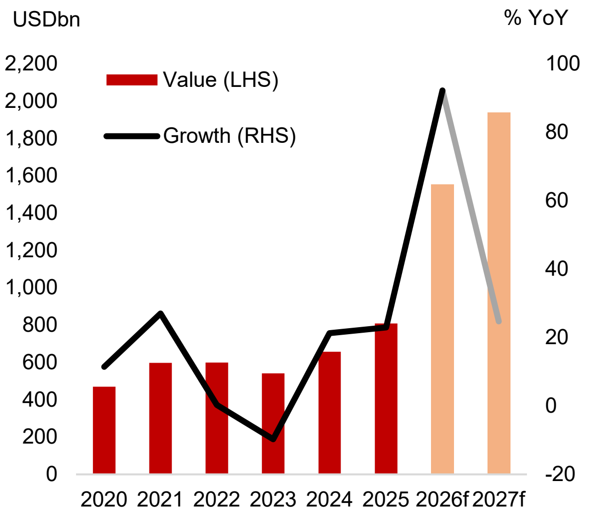
The global semiconductor market is expected to follow a similar cyclical pattern. WSTS forecasts global semiconductor sales to reach approximately USD1.5 tn in 2026, representing around 90% yoy growth, before increasing toward USD1.9 tn in 2027 as growth moderates to approximately 27%. Gartner's projections broadly support a similar trajectory, pointing to continued expansion but a transition toward a more mature phase of the cycle.

Global hyperscaler capex



Sources: Bloomberg, DBS

Global semiconductor market



Sources: Gartner, DBS

Taiwan 2H Outlook

Taiwan entered 2026 with exceptionally strong economic momentum. Growth in 1H26 remained robust as the AI super-cycle continued to support exports, investment, and corporate activity. Inflation rose only modestly, with energy-related pressures largely contained by government subsidies.

Looking ahead to 2H26, we expect Taiwan to maintain above-trend growth through 3Q26 before activity begins to normalize from 4Q26 onward. Inflation is likely to remain sticky, reflecting delayed cost pass-through and improving domestic demand.

We maintain our 2026 GDP growth forecast at 9.4% and adjust our 2027 forecast to 4.5% from 3.5%. On a quarterly basis, GDP growth is expected to remain around 10% yoy in 3Q26 before moderating to a more sustainable pace of around 4% yoy from 4Q26 onward.

Exports have approached a cyclical peak. Real export growth moderated in 2Q26, although nominal exports remained exceptionally strong due to elevated semiconductor prices. US-bound exports, which are closely linked to AI demand, have shown clear signs of cooling, while stronger shipments to ASEAN economies have provided a partial offset. ICT exports are also beginning to normalize, whereas traditional manufacturing exports have improved modestly.

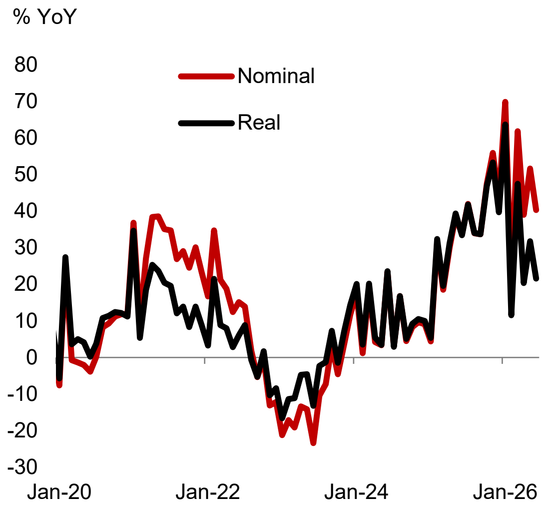
Investment has also approached a cyclical peak. Machinery investment, as measured by capital goods import growth, moderated in 2Q26, suggesting that firms expanded advanced foundry and advanced packaging capacity at a more measured pace. Meanwhile, construction-related investment indicators—including building permits and construction lending—remain weak and are unlikely to recover meaningfully in the near term, as the residential property market continues to consolidate under the central bank's credit controls.

Consumption has room to recover. Household spending on goods and services improved in 2Q26, as reflected in retail sales and food and beverage sales. A steady labour market, a stabilizing housing market, and accumulated equity-price gains should continue to support household spending through income and wealth effects.

Taiwan: GDP growth

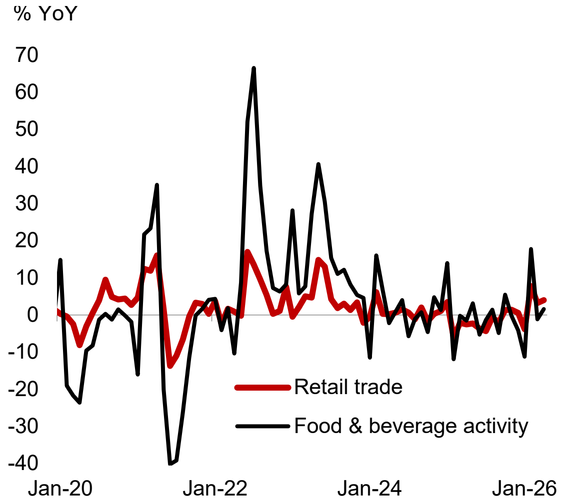
Sources: CEIC, DBS

Taiwan: Export growth



Sources: CEIC, DBS

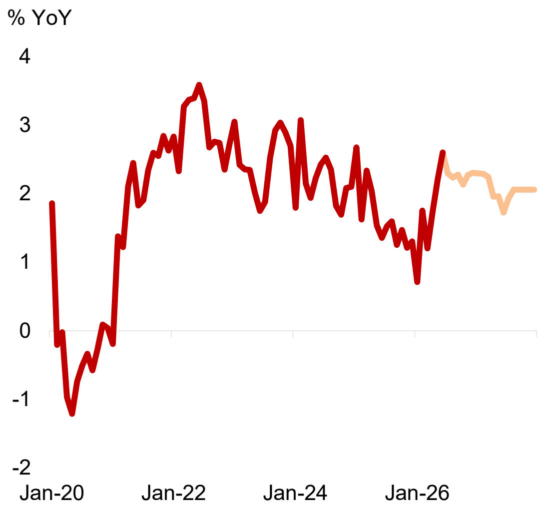
Taiwan: Consumption indicators



Sources: CEIC, DBS

We revise up our 2026–2027 CPI inflation forecasts to 2.0% and 2.1%, respectively, from 1.9% and 1.8%. Inflation is expected to remain close to 2% through 2H26 and into 2027. Energy-related inflation stemming from Middle East tensions should persist, with delayed cost pass-through keeping consumer prices elevated in the coming months. Extreme weather conditions associated with El Niño are expected to contribute to heightened food price volatility in 2H26. Over the medium term, tight labour-market conditions, asset-price gains, and a recovery in domestic demand should gradually lift inflation expectations and contribute to firmer inflation in 2027.

Taiwan: CPI inflation



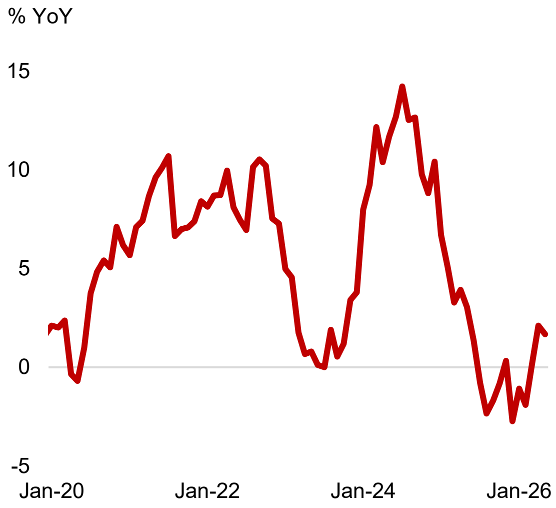
Sources: CEIC, DBS

The labour market should remain steady. The unemployment rate remained around 3.3% in 2Q26, while regular wage growth held at 2.5%–3.0% yoy. Strong economic growth should continue to support employment and wages, but the overall impact is likely to remain moderate given that ICT manufacturing accounts for less than 10% of total employment. Unlike South Korea, where semiconductor companies distribute sizeable employee bonuses, Taiwanese firms retain a larger share of earnings to finance future investment.

The property market is expected to continue consolidating through 2H26. Housing transactions and prices improved modestly in 2Q26. The government's new subsidy programme for first-time homebuyers, scheduled to begin in August, should provide some support to housing demand. Nevertheless, the central bank is expected to maintain existing loan-to-value restrictions—including a 60% cap for second homes and a 30% cap for third homes and high-value properties—amid lingering concerns over housing affordability and the concentration of real estate lending.

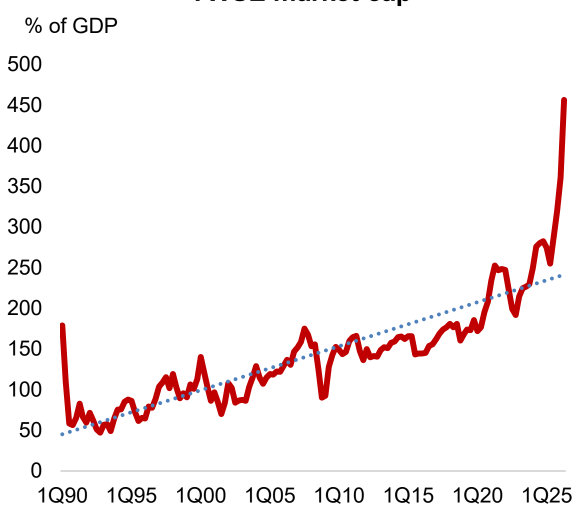
The equity market is increasingly exposed to overheating risks. Taiwan's stock market capitalization exceeded USD5tn in late May, making it the world's fifth-largest equity market. Market capitalization now exceeds 450% of nominal GDP, while average price-to-earnings ratios have risen to around 30x. Retail investor participation and leverage have also increased significantly. Monthly new trading account openings exceeded 100,000 during the first half of 2026, while margin financing balance surpassed TWD700 bn in May, roughly 60% above December 2025 levels. These conditions increase the market's sensitivity to shifts in investor sentiment and liquidity conditions.

Taipei: Sinyi residential property prices



Sources: CEIC, DBS

TWSE market cap

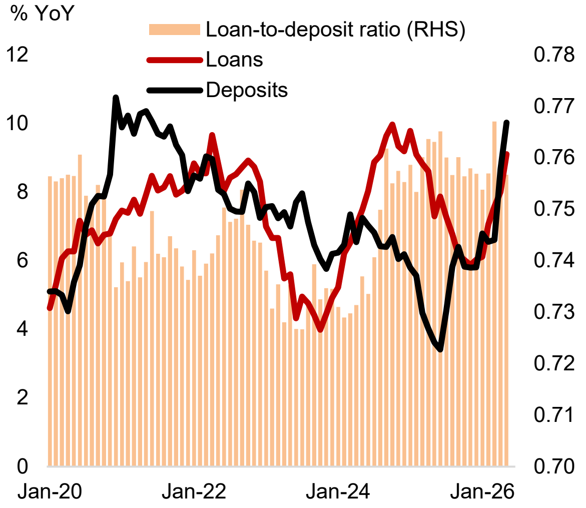


Sources: CEIC, DBS

The credit cycle still has room to strengthen. Historically, loan growth tends to lag GDP growth by two to three quarters. Bank lending accelerated to around 9% yoy in May. Corporate lending remains robust, driven by ICT firms financing AI-related investment and securities firms expanding margin financing amid buoyant equity-market activity. Consumer lending is expected to remain relatively stable, as housing mortgage growth continues to be constrained by macroprudential measures.

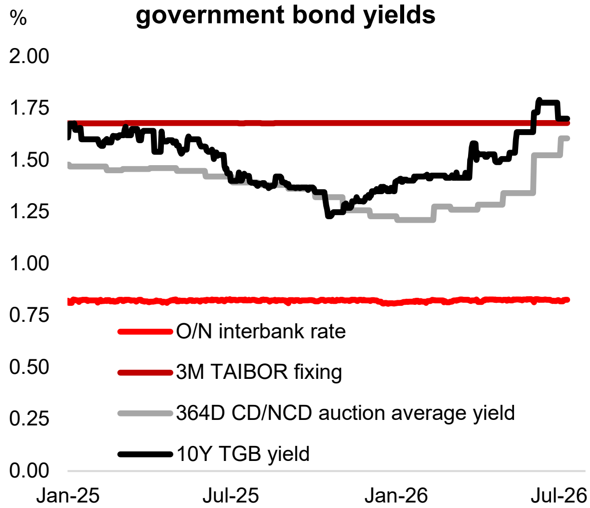
Monetary policy is expected to shift toward modest tightening. Financial conditions have already tightened through market channels, with robust loan growth and buoyant equity markets contributing to higher money market rates and government bond yields. Policymakers are likely to monitor inflation and inflation expectations closely when assessing the appropriate monetary policy stance. In addition to maintaining existing macroprudential measures on housing lending, policymakers could introduce measures aimed at containing leverage in equity markets.

Taiwan: Bank loans and deposits



Sources: CEIC, DBS

Taiwan: Money market rates and government bond yields



Sources: Bloomberg, DBS

DBS Group Research

Economics & Strategy

Taimur BAIG, Ph.D.
Chief Economist
Global
taimurbaig@dbs.com

Mo JI, Ph.D.
Chief Economist
China/HK SAR
mojim@dbs.com

Nathan CHOW
Senior Economist
China/HK SAR
nathanchow@dbs.com

Radhika RAO
Senior Economist
Asean/EU/South Asia
radhikarao@dbs.com

Tieying MA, CFA
Senior Economist
North Asia
matieying@dbs.com

Han Teng CHUA, CFA
Senior Economist
Asean
hantengchua@dbs.com

Byron LAM
Economist
China/HK SAR
byronlamfc@dbs.com

Eugene LEOW
Senior Rates Strategist
G3 & Asia
eugeneleow@dbs.com

Philip WEE
Senior FX Strategist
Global
philipwee@dbs.com

Wei Liang CHANG
FX & Credit Strategist
Global
weiliangchang@dbs.com

Samuel TSE
Rates Strategist
Asia
samueltse@dbs.com

Sherilyn CHEW
Multi-asset Strategist
Global
sherilynchew@dbs.com

Mervyn TEO
Credit Analyst
USD, SGD, AUD
mervynteo@dbs.com

Dexter CHUN
Credit Analyst
USD
dexterchun@dbs.com

Tracy Li Jun LIM
Credit Analyst
USD, SGD
tracylimt@dbs.com

Ian Haan CHUI
Credit Analyst
USD
ianchui@dbs.com

Amanda SEAH
Credit Analyst
USD, SGD, AUD
amandaseah@dbs.com

Teng Chong LIM
Credit Analyst
USD, SGD, AUD
tengchonglim@dbs.com

Joel SIEW, CFA
Credit Analyst
USD, SGD, AUD
joelsiew@dbs.com

Iris GAO
Credit Analyst
USD
irisgao@dbs.com

Lilian LV
Credit Analyst
USD
lilianlv@dbs.com

Daisy SHARMA
Analyst
Data Analytics
daisy@dbs.com

Violet LEE
Associate
Publications
violetleeyh@dbs.com

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DBS
The Week Ahead

Forecasts, data preview, central bank watch

July 10, 2026

KEY DATA RELEASES AND EVENTS NEXT WEEK

- The Bank of Korea is expected to raise the base rate to 2.75% from 2.50%.
- China's GDP growth is expected to decelerate from 5.0% yoy in Q1 to 4.8% in Q2.
- Singapore's GDP growth should have remained resilient at 5.8% yoy in 2Q26, compared with 6.0% yoy in 1Q26.

Radhika Rao,
Senior Economist
radhikarao@dbs.com

Mo JI, Ph.D.,
Chief China/HK Economist
mojim@dbs.com

The Week Ahead covers the key data releases and central bank events of the coming week, collating our macro forecasts.

KEY FORECASTS FOR THE COMING WEEK

Event	DBS	Previous
Jul 13 (Mon)		
India: CPI (Jun)	4.1% y/y	3.9% y/y
India: exports (Jun)	25% y/y	18.0% y/y
- imports	34% y/y	20.6% y/y
- trade balance	-USD28.5bn	-USD28.2bn
Jul 14 (Tue)		
US: CPI (Jun)	4.0% y/y	4.2% y/y
China: exports (Jun)	20.9% y/y	19.4% y/y
- imports	27.3% y/y	27.4% y/y
- trade blance	USD123.9bn	USD105.4bn
Singapore: GDP (2Q, A)	5.8% y/y	6.0% y/y
Jul 15 (Wed)		
China: GDP (2Q)	4.8% y/y	5.0% y/y
China: retail sales (Jun)	0.4% y/y	-0.6% y/y
- industrial production	4.6% y/y	4.5% y/y
- Fixed asset investment	-4.6% y/y	-4.1% y/y
July 16 (Thu)		
South Korea: BOK base rate	2.75%	2.50%
July 17 (Fri)		
Eurozone: CPI (Jun - Final)	2.8% y/y	2.8% y/y
Malaysia: GDP (2Q, A)	5.7% y/y	5.4% y/y
Malaysia: CPI (Jun)	2.0% y/y	2.0% y/y
Singapore: non-oil domestic exports (Jun)	25.0% y/y	38.4% y/y

CENTRAL BANK MEETINGS

Bank of Korea (16 Jul)

The Bank of Korea is expected to raise the base rate to 2.75% from 2.50% in July. The BOK signaled in June that it remains prepared to tighten monetary policy despite the recent decline in oil prices following the easing of tensions in the Middle East. CPI inflation has remained above 3% yoy for two consecutive months through June, and is expected to stay around this level for the remainder of the year, supported by lingering cost pass-through, elevated inflation expectations, and second-round effects.On the growth front, the economy continues to hold up well, driven primarily by robust exports and investment amid the AI boom. Meanwhile, the persistent weakness of the KRW, against the backdrop of portfolio capital outflows, provides an additional rationale for a rate hike.

FORTHCOMING DATA RELEASES

China

Economic growth is expected to decelerate from 5.0% yoy in Q1 to 4.8% in Q2, amid uneven domestic momentum. Industrial production is expected to improve from 4.5% in April to 4.6% in June, amid resilient external demand. Exports growth should have maintained its momentum with growth of 20.4% in June, driven by regional AI-electronic demand. The hi-tech manufacturing and equipment manufacturing sub-PMI have both improved further to 53.5 and 52.5 during the period. However, retail sales growth is projected to moderate to 0.5% in June 2026, partly due to a high base effect from last year's trade-in subsidy programs. Household sentiment remains weak amid uncertain job prospects, slower income growth, and elevated precautionary savings. Meanwhile, declining property prices continue to weigh on household wealth, suggesting consumption is likely to stay subdued in the near term. On the investment side, fixed asset investment is expected to decline further by 4.6% yoy ytd in June. Corporates investment stays cautious amid ongoing anti-involution campaign. Contraction in real estate investment will remain as a major drag.

India

June CPI inflation is expected to rise marginally to 4.1% yoy from 3.9% the month before, on continued normalisation in food segments and passthrough of fuel costs through the related segments. Beyond food and fuel, upside risks to core inflation appear limited, amid softer gold as well as precious metal prices and little scope for further pump price adjustments. Markets are also focused on the spatial and geographical spread of ongoing southwest monsoon. Encouragingly, the nationwide rainfall shortfall has narrowed considerably into July to -15% (as of 8 July), from over 40% gap in end-June, with key crop-producing belts of central and northwest India witnessing improvements. This should be supportive of total sowing activity which was 23% below (as of 26 June) the same time last year, led by a 25% and 30% shortfall in rice and pulses respectively, during the period. June trade data are unlikely to fully capture the impact of the mid-month correction in oil prices, with the trade deficit expected to remain elevated at around $28.5bn.

Singapore

We expect Singapore’s advance GDP growth estimate for 2Q26 to register 5.8% yoy, 1.5% qoq sa, remaining resilient compared with 6.0% yoy, 1.0% qoq sa in 1Q26. Expansion in trade-related sectors likely remained supportive. Manufacturing accelerated, while wholesale trade performed well despite some moderation, driven by robust global demand for artificial intelligence (AI)-related electronics. However, water transport weakened amid supply chain disruptions and high energy prices due to the Middle East conflict. Modern services remained resilient, supported by continued momentum in the financial sector, as securities trading activity and credit growth picked up. The ongoing construction boom also underpinned domestic resilience.

We see Singapore's non-oil domestic exports (NODX) growing at a double-digit rate for the fourth consecutive month, albeit at 25.0% yoy in June, compared with 38.4% yoy in May. Electronics domestic shipments remained well supported by robust global AI-related demand, particularly for memory chips and server-related products. However, non-electronics exports slowed amid unfavourable base effects.

Malaysia

We expect Malaysia's advance GDP estimate for 2Q26 to come in at 5.7% yoy, rising from 5.4% yoy in 1Q26. Overall growth was likely underpinned by stronger expansion in export-oriented manufacturing, with robust demand for global AI-related products lifting electrical & electronics shipments. The mining sector provided additional support, driven by strong natural gas production. Domestic demand remained resilient, with growth in services and construction sustained by continued household spending and ongoing investment realisation.

We anticipate Malaysia's headline inflation to hold relatively stable at 2.0% yoy in June. Price pressures likely remained contained, as fuel subsidies continued to limit the pass-through of energy costs to consumer prices at a time when global oil prices eased amid a decline in geopolitical risk premium as US-Iran tensions de-escalated.

GROWTH, INFLATION, POLICY RATES & FX FORECASTS

	GDP GROWTH, % YOY				CPI INFLATION, % YOY			
	2024	2025	2026f	2027f	2024	2025	2026f	2027f
CHINA	5.0	5.0	4.5	4.0	0.2	0.0	1.2	1.5
HONG KONG	2.5	3.5	3.0	2.8	1.5	1.4	1.6	1.5
INDIA	6.7	7.8	6.8	6.4	4.9	2.2	4.5	4.2
*INDIA (FISCAL YEAR) **	*6.5*	*7.7*	*6.8*	*6.4*	*4.6*	*2.1*	*4.9*	*4.0*
INDONESIA	5.0	5.1	5.1	5.1	2.3	1.9	3.6	2.2
MALAYSIA	5.2	5.2	4.7	4.2	1.8	1.4	2.0	2.0
PHILIPPINES**	5.6	4.5	4.7	5.0	3.2	1.7	6.5	4.0
SINGAPORE	5.3	5.0	4.3	3.0	2.4	0.9	2.2	2.0
SOUTH KOREA	2.0	1.0	2.6	2.0	2.3	2.1	2.6	2.1
TAIWAN	5.3	8.8	9.4	3.5	2.2	1.7	1.9	1.8
THAILAND	2.9	2.4	1.6	2.0	0.4	-0.1	2.5	1.5
VIETNAM	7.0	8.0	8.0	7.3	3.6	3.3	4.8	3.3
EUROZONE	0.7	1.5	1.0	1.2	2.3	2.2	3.1	2.1
JAPAN	-0.2	1.2	0.5	0.5	2.7	3.2	1.8	1.8
UNITED STATES***	2.8	2.0	1.9	1.7	3.0	2.7	3.5	3.0

** 2020 = Fiscal year Apr20-Mar21 ** new CPI series *** eop for CPI inflation*

POLICY INTEREST RATES, EOP

	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27
CHINA*	3.00	3.00	3.00	3.00	3.00	3.00	3.00	3.00
INDIA	5.25	5.25	5.25	5.25	5.25	5.25	5.25	5.25
INDONESIA	4.75	5.75	6.00	6.00	6.00	6.00	6.00	6.00
MALAYSIA	2.75	2.75	2.75	2.75	2.75	2.75	2.75	2.75
PHILIPPINES	4.25	4.75	5.25	5.25	5.25	5.25	5.25	5.25
SINGAPORE**	1.20	1.20	1.20	1.20	1.20	1.20	1.20	1.20
SOUTH KOREA	2.50	2.50	2.75	3.00	3.00	3.00	3.00	3.00
TAIWAN	2.00	2.00	2.00	2.13	2.13	2.13	2.13	2.13
THAILAND	1.00	1.00	1.00	1.00	1.00	1.00	1.00	1.00
VIETNAM***	4.50	4.50	4.50	4.50	4.50	4.50	4.50	4.50
EUROZONE^	2.00	2.25	2.50	2.50	2.50	2.50	2.50	2.50
JAPAN	0.75	1.00	1.00	1.25	1.25	1.50	1.50	1.50
UNITED STATES	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75

** 1-yr Loan Prime Rate; ** 3M SORA OIS ; *** refinancing rate; ^ deposit facility rate*

EXCHANGE RATES, EOP

	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27
USD/CNY	6.89	6.79	6.75	6.70	6.74	6.78	6.81	6.85
USD/HKD	7.84	7.84	7.83	7.83	7.83	7.83	7.83	7.83
USD/INR	94.8	94.7	93.4	93.9	94.4	95.0	95.5	96.1
USD/IDR	17041	17907	17760	17600	17660	17730	17790	17860
USD/MYR	4.05	4.08	4.02	3.95	4.00	4.05	4.10	4.15
USD/PHP	60.7	61.3	60.4	60.6	60.7	60.9	61.1	61.3
USD/SGD	1.29	1.29	1.28	1.27	1.28	1.29	1.29	1.30
USD/KRW	1516	1549	1470	1485	1500	1515	1530	1545
USD/THB	32.6	33.2	32.7	32.0	32.5	33.0	33.5	34.0
USD/VND	26340	26310	26290	26290	26430	26570	26710	26850
AUD/USD	0.69	0.69	0.70	0.71	0.70	0.70	0.69	0.69
EUR/USD	1.16	1.14	1.15	1.17	1.16	1.15	1.14	1.13
USD/JPY	159	163	156	151	153	154	155	157
GBP/USD	1.32	1.33	1.34	1.36	1.35	1.34	1.33	1.32

INTEREST RATE FORECASTS

		2026				2027			
		Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
US	3M SOFR OIS	3.68	3.75	3.65	3.65	3.65	3.65	3.65	3.65
	2Y	3.79	4.16	3.85	3.85	3.90	3.95	3.95	3.95
	10Y	4.32	4.45	4.40	4.50	4.55	4.60	4.65	4.65
	10Y-2Y	52	29	55	65	65	65	70	70
Japan	3M TIBOR	1.27	1.41	1.45	1.50	1.55	1.75	1.75	1.75
	2Y	1.35	1.39	1.55	1.70	1.80	1.90	1.90	1.90
	10Y	2.35	2.72	2.65	2.70	2.70	2.70	2.75	2.75
	10Y-2Y	100	133	110	100	90	80	85	85
Eurozone	3M EURIBOR	2.08	2.32	2.70	2.70	2.70	2.70	2.70	2.70
	2Y	2.62	2.53	2.55	2.60	2.65	2.70	2.70	2.70
	10Y	3.00	2.86	3.10	3.20	3.25	3.30	3.30	3.30
	10Y-2Y	39	33	55	60	60	60	60	60
Indonesia	IDR 3M OIS	4.12	6.45	5.90	5.90	5.90	5.90	5.90	5.90
	2Y	6.31	7.21	6.90	6.85	6.80	6.75	6.75	6.70
	10Y	6.86	7.16	7.00	6.95	6.90	6.90	6.90	6.90
	10Y-2Y	55	-5	10	10	10	15	15	20
Malaysia	3M KLIBOR	3.37	3.45	3.35	3.35	3.35	3.35	3.35	3.35
	3Y	3.26	3.26	3.25	3.25	3.25	3.25	3.25	3.25
	10Y	3.63	3.60	3.65	3.65	3.65	3.65	3.70	3.70
	10Y-3Y	37	35	40	40	40	40	45	45
Philippines	3M NDF implied yield	6.09	4.94	5.55	6.05	6.05	6.05	6.05	6.05
	2Y	5.42	6.08	6.10	6.20	6.25	6.30	6.35	6.35
	10Y	6.98	6.90	7.65	7.75	7.80	7.85	7.90	7.95
	10Y-2Y	156	82	155	155	155	155	155	160
Singapore	3M SORA OIS	1.16	1.16	1.20	1.20	1.20	1.20	1.20	1.20
	2Y	1.61	1.58	1.55	1.60	1.62	1.65	1.67	1.70
	10Y	2.29	2.04	2.20	2.20	2.25	2.25	2.30	2.30
	10Y-2Y	68	45	65	60	63	60	63	60
Thailand	3M BIBOR	1.15	1.15	1.15	1.15	1.15	1.15	1.15	1.15
	2Y	1.41	1.14	1.35	1.35	1.45	1.50	1.50	1.50
	10Y	2.23	2.04	2.55	2.60	2.70	2.75	2.80	2.90
	10Y-2Y	82	90	120	125	125	125	130	140
China	1Y LPR	3.00	3.00	3.00	3.00	3.00	3.00	3.00	3.00
	2Y	1.37	1.25	1.25	1.25	1.25	1.25	1.25	1.25
	10Y	1.86	1.73	1.75	1.80	1.80	1.85	1.85	1.85
	10Y-2Y	48	48	50	55	55	60	60	60
Hong Kong, SAR	3M HIBOR	2.36	2.97	2.75	2.75	2.75	2.75	2.75	2.75
	2Y*	2.82	3.43	2.85	2.85	2.90	2.95	2.95	2.95
	10Y*	3.08	3.45	3.40	3.50	3.55	3.60	3.65	3.65
	10Y-2Y	26	2	55	65	65	65	70	70
Korea	3M CD	2.82	2.92	3.10	3.20	3.20	3.20	3.20	3.20
	3Y	3.56	3.70	3.60	3.75	3.75	3.75	3.75	3.75
	10Y	3.88	4.07	4.20	4.25	4.25	4.25	4.25	4.25
	10Y-3Y	32	37	60	50	50	50	50	50
India	3M MIBOR	7.25	6.61	6.75	6.75	6.75	6.75	6.75	6.75
	2Y	6.37	5.99	6.30	6.30	6.35	6.35	6.35	6.35
	10Y	7.04	6.75	6.95	6.90	6.90	6.90	6.85	6.85
	10Y-2Y	67	76	65	60	55	55	50	50

%, eop, govt bond yield for 2Y and 10Y, spread bps
Sources: Data for all charts and tables are from CEIC, Bloomberg and DBS Group Research (forecasts and transformations)

DBS Group Research

ECONOMICS & STRATEGY

Taimur BAIG, Ph.D.
Chief Economist
Global
taimurbaig@dbs.com

Mo JI, Ph.D.
Chief Economist
China/HK SAR
mojim@dbs.com

Nathan CHOW
Senior Economist
China/HK SAR
nathanchow@dbs.com

Radhika RAO
Senior Economist
Eurozone, India, Indonesia
radhikarao@dbs.com

Tieying MA, CFA
Senior Economist
North Asia
matieying@dbs.com

Han Teng CHUA, CFA
Senior Economist
Asean
hantengchua@dbs.com

Byron LAM
Economist
China/HK SAR
byronlamfc@dbs.com

Eugene LEOW
Senior Rates Strategist
G3 & Asia
eugeneleow@dbs.com

Philip WEE
Senior FX Strategist
Global
philipwee@dbs.com

Wei Liang CHANG
FX & Credit Strategist
Global
weiliangchang@dbs.com

Samuel TSE
Rates Strategist
Asia
samueltse@dbs.com

Sherilyn CHEW
Multi-asset Strategist
Global
sherilynchew@dbs.com

Mervyn TEO
Senior Credit Analyst
USD, SGD, AUD
mervynteo@dbs.com

Dexter CHUN
Credit Analyst
USD
dexterchun@dbs.com

Tracy Li Jun LIM
Credit Analyst
USD, SGD
tracylimt@dbs.com

Ian Haan Chui
Credit Analyst
USD
ianchui@dbs.com

Amanda SEAH
Credit Analyst
USD, SGD, AUD
amandaseah@dbs.com

Teng Chong LIM
Credit Analyst
USD, SGD, AUD
tengchonglim@dbs.com

Joel SIEW, CFA
Credit Analyst
USD, SGD, AUD
joelsiew@dbs.com

Iris GAO
Credit Analyst
USD
irisgao@dbs.com

Lilian LV
Credit Analyst
USD
lilianlv@dbs.com

Daisy SHARMA
Analyst
Data Analytics
daisy@dbs.com

Violet LEE
Associate
Publications
violetleeyh@dbs.com

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DBS Focus

Taiwan-Singapore: Asia's new growth corridor

1 July 2026

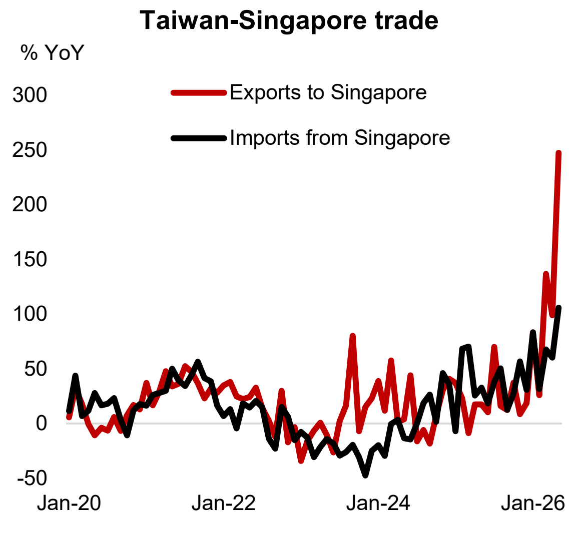
Ma Tieying, CFA
Senior Economist
matieying@dbs.com

- *Taiwan–Singapore is emerging as one of Asia's fastest-growing trade and investment corridors.*
- *AI-driven demand and the continued evolution of semiconductor supply chains are powering rapid growth.*
- *Singapore's role as a regional hub for trade, logistics, finance and business continues to accelerate corridor expansion.*
- *Bilateral trade is on track to double this year, while two-way investment flows are expected to more than double.*
- *Taiwan has become Singapore's largest trading partner, while Singapore is poised to become Taiwan's fourth-largest trading partner this year.*
- *Singapore is on track to become Taiwan's largest source of FDI and its second-largest destination for ODI this year.*

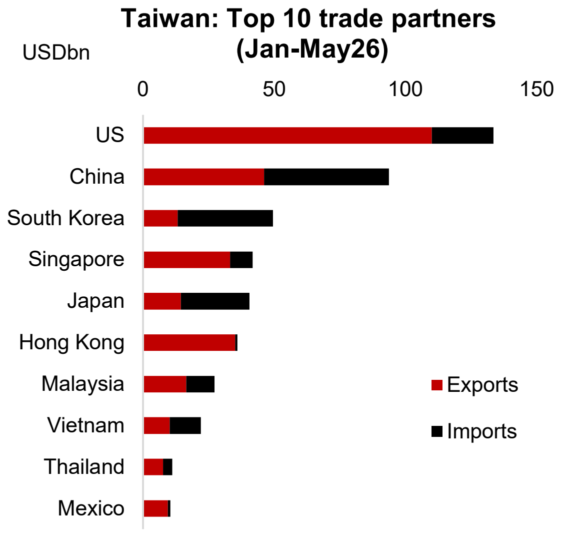
The Singapore–Taiwan corridor is emerging as one of Asia's fastest-growing trade and investment relationships. The rapid expansion of the AI ecosystem, deeper semiconductor supply-chain integration and diversification, and Singapore's growing role as a regional trade, logistics, finance and business hub are strengthening economic linkages between the two economies at an unprecedented pace.

Trade

Bilateral trade momentum strengthened sharply this year. Taiwan's exports to Singapore surged 116.7% yoy during Jan–May to USD33.2 bn, while imports from Singapore increased 69.4% to USD8.6 bn. If current trends continue, Taiwan's exports to Singapore could approach USD80 bn this year and imports from Singapore could reach USD20 bn, bringing total bilateral trade to roughly USD100 bn. Singapore would consequently become Taiwan's fourth-largest trading partner, behind only the US, China, and South Korea.



Sources: CEIC, DBS



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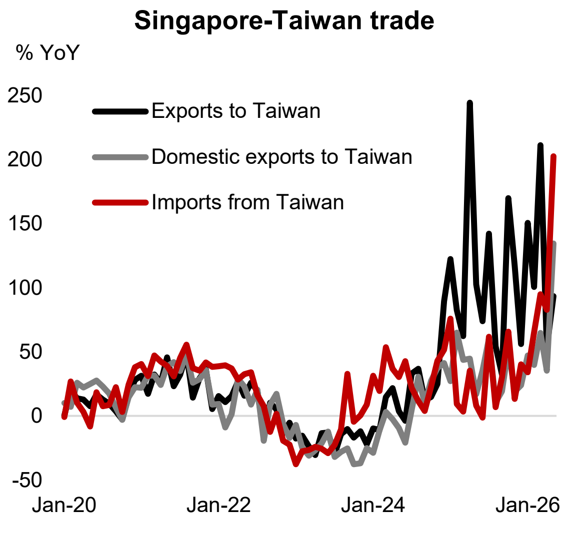
From Singapore's perspective, the relationship is even larger. Singapore's trade statistics capture not only domestic exports and imports but also goods transshipped through the city-state. On this basis, both Singapore's exports to Taiwan and imports from Taiwan are likely to exceed USD100 bn this year, implying total bilateral trade of more than USD200 bn. Taiwan has been Singapore's largest trading partner since 2025 and is likely to retain that position through 2026.



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A major driver of this growth is Singapore's expanding role as a regional distribution hub for information and communications technology (ICT) products. World-class logistics infrastructure, extensive shipping and air-cargo connectivity, efficient customs procedures, and a tariff-free trading environment have made Singapore a preferred gateway for technology supply chains serving Southeast Asia, India, the Middle East, and Europe.

The scale of re-export activity underscores Singapore's intermediary role. Approximately 75% of Singapore's exports to Taiwan originate from third countries, while roughly half of its imports from Taiwan are subsequently re-exported. As Taiwanese technology companies expand overseas, Singapore is becoming an increasingly important platform for distributing ICT products across the region.

Beyond its traditional role as a trading hub, Singapore is increasingly becoming a major source of end-demand for Taiwanese technology products. As Southeast Asia's largest cloud-computing and data-centre hub, Singapore continues to attract substantial investment from hyperscalers and digital infrastructure providers, including AWS, Google, and Microsoft. Its stable regulatory environment, concentration of multinational headquarters, and extensive submarine cable network make Singapore one of Asia's most attractive destinations for AI infrastructure investment.

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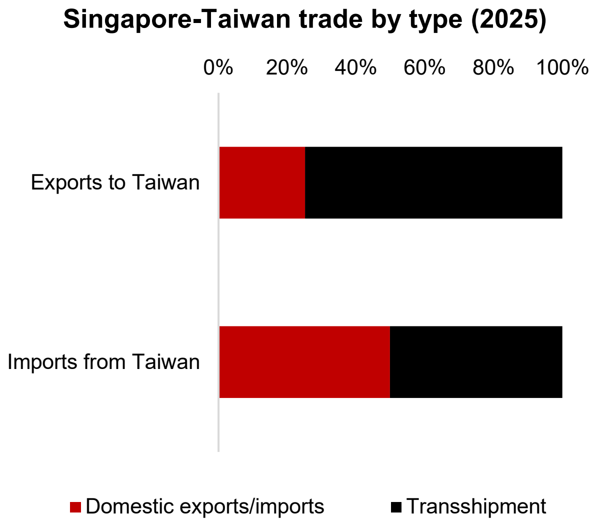
The development of the Johor–Singapore Special Economic Zone (JS-SEZ) further reinforces this trend. With greater land availability and lower power costs, Johor is attracting a growing pipeline of data-centre and advanced manufacturing investments. Singapore serves as the primary logistics, supply-chain, and financing gateway for many of these projects, generating additional demand for AI servers, semiconductors, and other technology products sourced from Taiwan.



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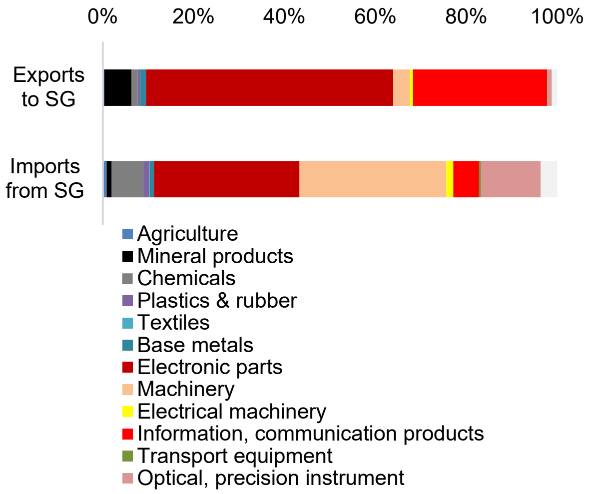
Deepening integration between Singapore's and Taiwan's semiconductor industries is another important driver of bilateral trade growth. Singapore has become an increasingly important manufacturing and operational hub within the global semiconductor ecosystem. Micron operates NAND flash production facilities in Singapore and is developing advanced HBM packaging capabilities there, while Applied Materials is expanding its semiconductor equipment manufacturing footprint.

At the same time, Taiwan continues to strengthen its position across advanced logic chip manufacturing, DRAM/HBM production, and advanced packaging services. Micron is increasing DRAM/HBM production capacity in Taiwan, while leading Taiwanese semiconductor firms continue to invest heavily in advanced foundry processes and advanced packaging capabilities.

Trade patterns reflect this growing complementarity. Taiwan's exports to Singapore are concentrated in electronic components (54%) and information and communication products (30%), while imports from Singapore are dominated by electronic components (32%), machinery (32%), and optical and precision instruments (13%).

Taiwan-Singapore trade by product (2025)



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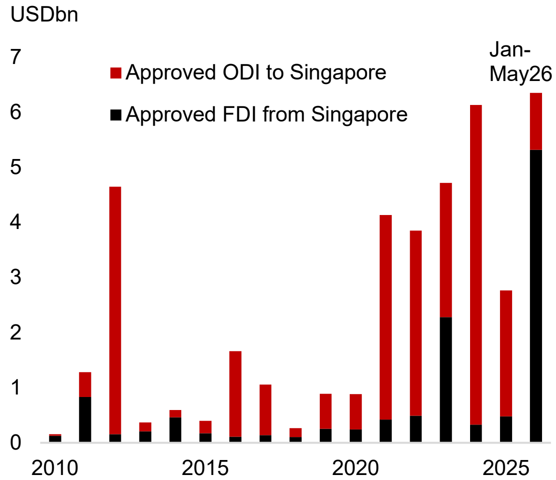
Investment

The Singapore–Taiwan investment corridor is expanding as rapidly as trade. Taiwan's approved foreign direct investment (FDI) inflows from Singapore surged nearly sixteen-fold yoy to USD5.3 bn during Jan–May, while Taiwan's approved outbound investment (ODI) to Singapore increased by a similar magnitude to USD1.0 bn. Singapore's investment into Taiwan could exceed USD7 bn this year, while Taiwan's investment into Singapore could surpass USD2 bn, bringing total bilateral investment flows to around USD10 bn. On a single-country basis, Singapore is on track to become Taiwan's largest source of FDI and second-largest destination for outbound investment after the US.

The relationship appears even stronger when viewed through Singapore's investment statistics, which capture investments routed through third jurisdictions and regional holding structures. On this basis, Singapore's ODI into Taiwan could reach approximately USD7 bn this year, while Taiwanese FDI into Singapore could approach USD6 bn, implying total bilateral investment flows comfortably exceeding USD10 bn.

Taiwan-Singapore direct investment



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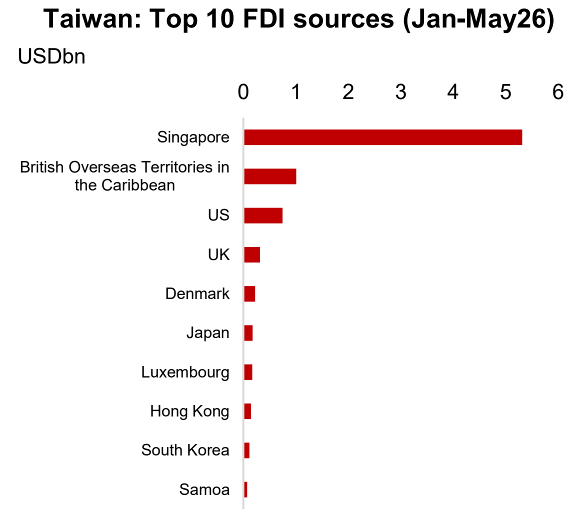

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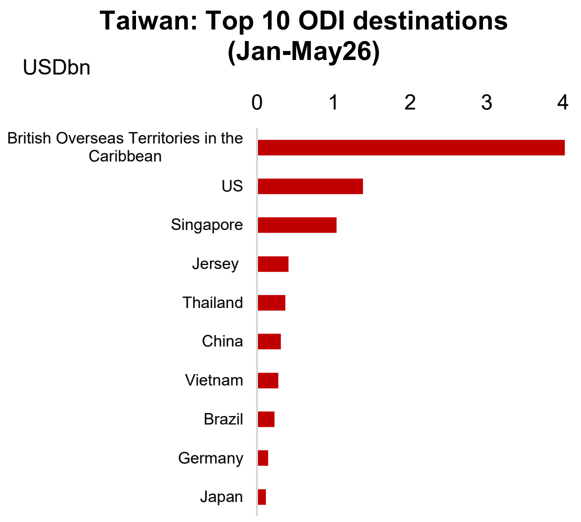

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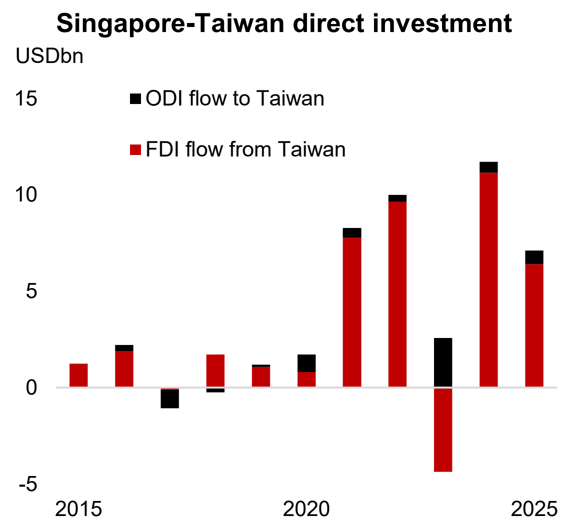

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Singapore's growing importance as a regional business hub is a major factor supporting investment growth. An increasing number of multinational corporations and Taiwanese firms use Singapore as their headquarters for Southeast Asian and broader Asia-Pacific operations. The city-state offers a competitive tax framework, strong legal protections, and a highly business-friendly operating environment.

Singapore is also Taiwan's most important institutional economic partner in Asia, linked through the ASTEP economic partnership agreement, which closely resembles a free-trade agreement. As Taiwanese companies continue to internationalise, Singapore is becoming an increasingly important base for supply-chain management, regional treasury centres, and investment holding structures.

Recent transactions illustrate this trend. In April, Google invested USD855 mn through its Singapore subsidiaries to support data-centre and semiconductor procurement activities in Taiwan. In May, Micron injected USD4.3 bn through its Singapore holding company to expand operations in Taiwan. In the opposite direction, Foxconn invested USD350 mn through Singapore to support manufacturing expansion in Vietnam.

AI-related investment is becoming one of the most important drivers of bilateral capital flows. As AI adoption accelerates, demand for AI infrastructure, semiconductors, and other technology hardware is rising rapidly in Singapore, Taiwan, and their major trading partners.

Recent investments by firms such as Google and Micron in Taiwan provide clear examples of this trend. Taiwanese companies are also expanding their presence in Singapore's AI infrastructure ecosystem. A notable example is BizLink's USD850 mn acquisition of Singapore-based Interplex Datacom, strengthening its position in data-centre connectivity and AI-related infrastructure.

Semiconductor supply-chain diversification strategies driven by geopolitical considerations provide an additional structural tailwind. As Taiwanese semiconductor companies seek more geographically diversified and resilient production networks, Singapore has emerged as a preferred destination owing to its political stability, strategic neutrality, and well-established semiconductor ecosystem.

Several Taiwanese semiconductor firms have expanded their presence in Singapore in recent years, extending beyond AI-related activities. UMC and Vanguard have invested in mature-node semiconductor manufacturing facilities, while King Yuan established its first overseas semiconductor testing operation in the city-state.

Conclusion

The Singapore–Taiwan economic relationship is evolving beyond a traditional trade and investment partnership into a strategically important technology corridor centred on AI, semiconductors, and regional supply-chain management. Continued expansion of AI infrastructure, deeper semiconductor supply-chain integration and diversification, and Singapore's role as Asia's leading trade and business hub are likely to drive sustained growth in bilateral trade and investment flows. As the two economies become increasingly interconnected, their partnership is emerging as a critical node within Asia's evolving technology networks.

Taiwan-Singapore Direct Investment Cases (2025-2026)

	Investor	Year	Value (USD mn)	Sector
ODI to Singapore	Foxconn	2025	1,489	Mobile phone manufacturing (India)
		2026	350	Electronic product manufacturing (Vietnam)
	Radiant	2025	100	Wholesale of electronic components; treasury center operations
	KYEC	2025	78	Semiconductor packaging and testing
	WT Microelectronics	2025	470	Wholesale, retail, and distribution of semiconductors and electronic components
	ASUS	2026	500	Sales of 3C products
	BizLink	2026	850	Data center infrastructure
FDI from Singapore	Google	2026	800	Data processing and electronic information services
		2026	55	Semiconductor inventory procurement
	Micron	2026	4,330	Memory chip manufacturing

Sources: MOEA, news reports, DBS

DBS Group Research

Economics & Strategy

Taimur BAIG, Ph.D.
Chief Economist
Global
taimurbaig@dbs.com

Mo JI, Ph.D.
Chief Economist
China/HK SAR
mojim@dbs.com

Nathan CHOW
Senior Economist
China/HK SAR
nathanchow@dbs.com

Radhika RAO
Senior Economist
Eurozone, India, Indonesia
radhikarao@dbs.com

Tieying MA, CFA
Senior Economist
North Asia
matieying@dbs.com

Han Teng CHUA, CFA
Senior Economist
Asean
hantengchua@dbs.com

Byron LAM
Economist
China/HK SAR
byronlamfc@dbs.com

Eugene LEOW
Senior Rates Strategist
G3 & Asia
eugeneleow@dbs.com

Philip WEE
Senior FX Strategist
Global
philipwee@dbs.com

Wei Liang CHANG
FX & Credit Strategist
Global
weiliangchang@dbs.com

Samuel TSE
Rates Strategist
Asia
samueltse@dbs.com

Sherilyn CHEW
Multi-asset Strategist
Global
sherilynchew@dbs.com

Mervyn TEO
Credit Analyst
USD, SGD, AUD
mervynteo@dbs.com

Dexter CHUN
Credit Analyst
USD
dexterchun@dbs.com

Tracy Li Jun LIM
Credit Analyst
USD, SGD
tracylimt@dbs.com

Ian Haan CHUI
Credit Analyst
USD
ianchui@dbs.com

Amanda SEAH
Credit Analyst
USD, SGD, AUD
amandaseah@dbs.com

Teng Chong LIM
Credit Analyst
USD, SGD, AUD
tengchonglim@dbs.com

Joel SIEW, CFA
Credit Analyst
USD, SGD, AUD
joelsiew@dbs.com

Iris GAO
Credit Analyst
USD
irisgao@dbs.com

Lilian LV
Credit Analyst
USD
lilianlv@dbs.com

Daisy SHARMA
Analyst
Data Analytics
daisy@dbs.com

Violet LEE
Associate
Publications
violetleeyh@dbs.com

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DBS Focus

Taiwan-Singapore: Asia’s new growth corridor

1 July 2026

Ma Tieying, CFA
Senior Economist
matieying@dbs.com

- *Taiwan–Singapore is emerging as one of Asia’s fastest-growing trade and investment corridors.*
- *AI-driven demand and the continued evolution of semiconductor supply chains are powering rapid growth.*
- *Singapore’s role as a regional hub for trade, logistics, finance and business continues to accelerate corridor expansion.*
- *Bilateral trade is on track to double this year, while two-way investment flows are expected to more than double.*
- *Taiwan has become Singapore’s largest trading partner, while Singapore is poised to become Taiwan’s fourth-largest trading partner this year.*
- *Singapore is on track to become Taiwan’s largest source of FDI and its second-largest destination for ODI this year.*

The Singapore–Taiwan corridor is emerging as one of Asia's fastest-growing trade and investment relationships. The rapid expansion of the AI ecosystem, deeper semiconductor supply-chain integration and diversification, and Singapore's growing role as a regional trade, logistics, finance and business hub are strengthening economic linkages between the two economies at an unprecedented pace.

Trade

Bilateral trade momentum strengthened sharply this year. Taiwan's exports to Singapore surged 116.7% yoy during Jan–May to USD33.2 bn, while imports from Singapore increased 69.4% to USD8.6 bn. If current trends continue, Taiwan's exports to Singapore could approach USD80 bn this year and imports from Singapore could reach USD20 bn, bringing total bilateral trade to roughly USD100 bn. Singapore would consequently become Taiwan's fourth-largest trading partner, behind only the US, China, and South Korea.

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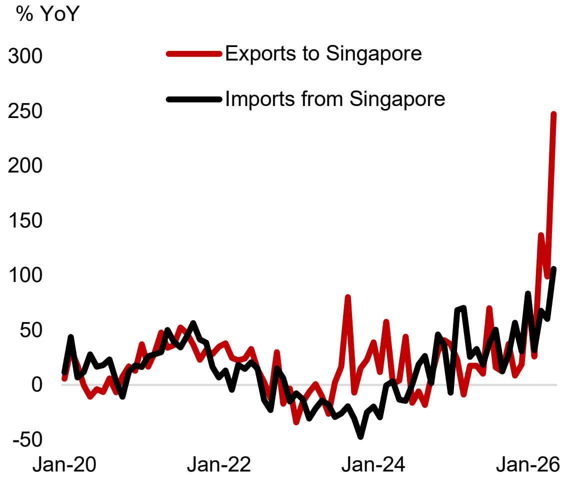
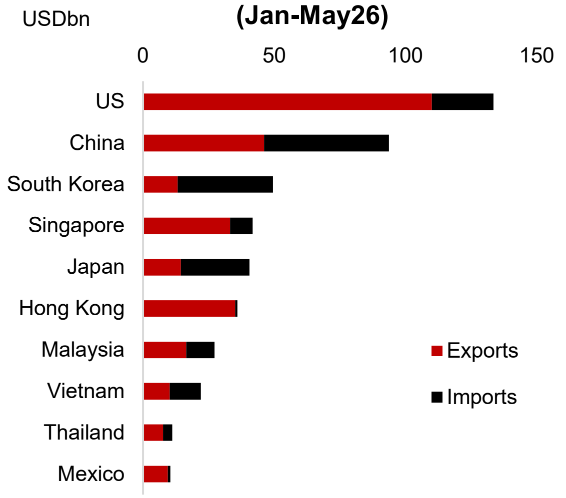


Sources: CEIC, DBS

Taiwan: Top 10 trade partners (Jan-May26)



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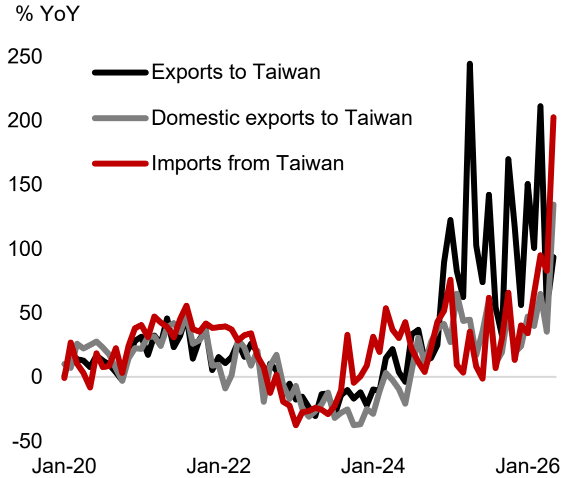

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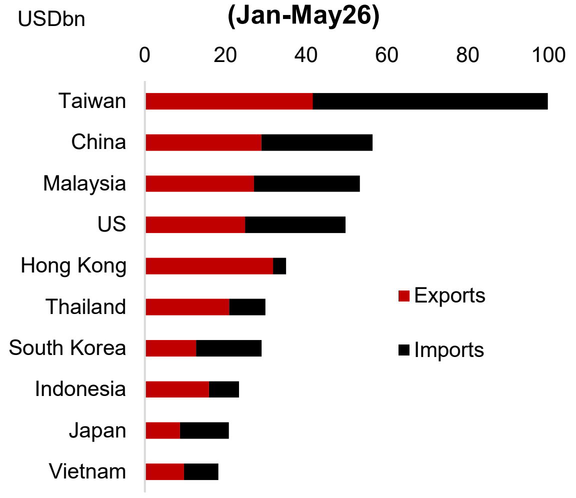

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A major driver of this growth is Singapore's expanding role as a regional distribution hub for information and communications technology (ICT) products. World-class logistics infrastructure, extensive shipping and air-cargo connectivity, efficient customs procedures, and a tariff-free trading environment have made Singapore a preferred gateway for technology supply chains serving Southeast Asia, India, the Middle East, and Europe.

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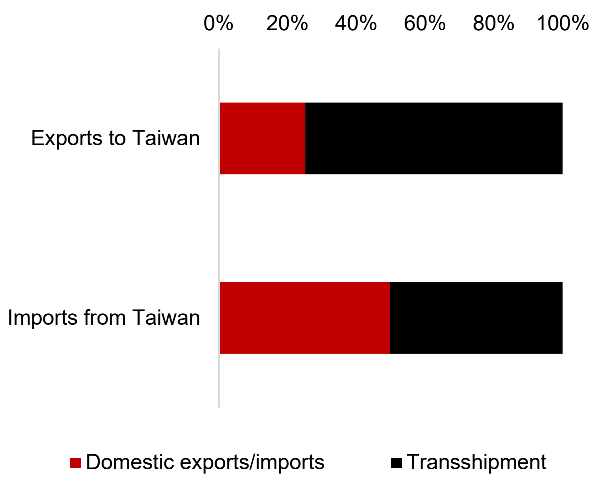
Singapore-Taiwan trade by type (2025)



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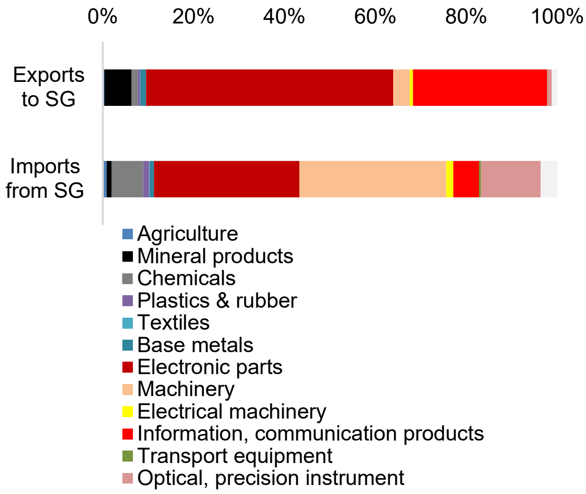

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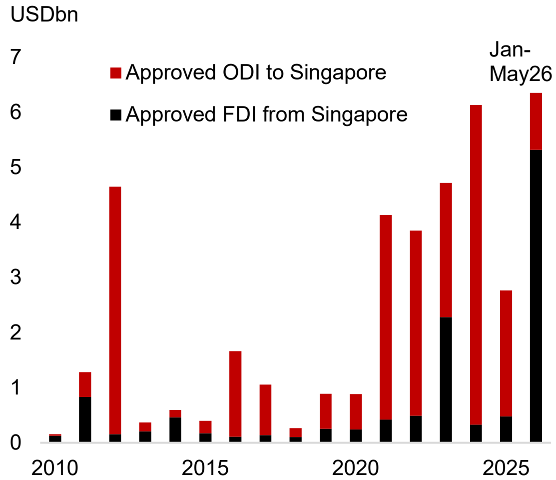

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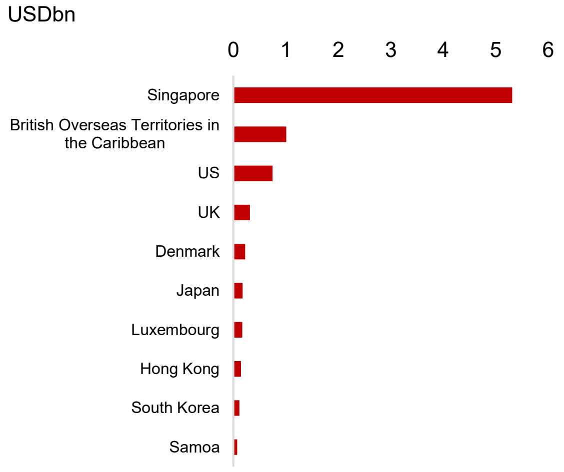
Taiwan: Top 10 FDI sources (Jan-May26)



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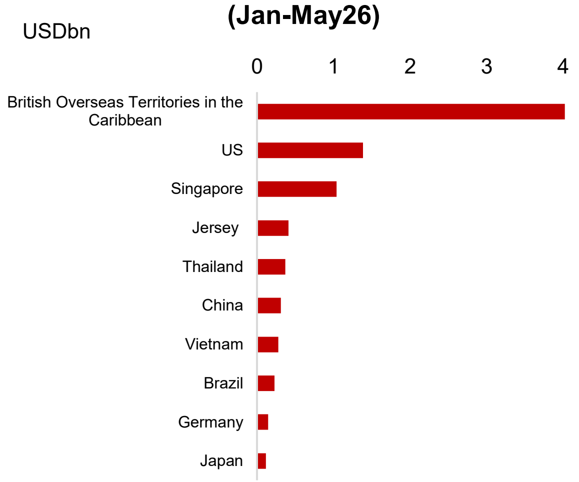

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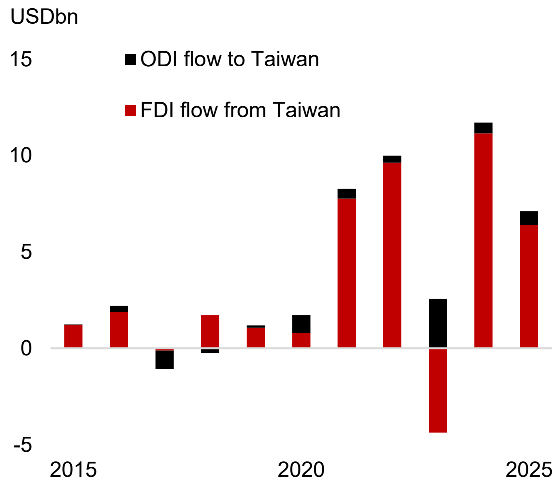

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Conclusion

The Singapore–Taiwan economic relationship is evolving beyond a traditional trade and investment partnership into a strategically important technology corridor centred on AI, semiconductors, and regional supply-chain management. Continued expansion of AI infrastructure, deeper semiconductor supply-chain integration and diversification, and Singapore's role as Asia's leading trade and business hub are likely to drive sustained growth in bilateral trade and investment flows. As the two economies become increasingly interconnected, their partnership is emerging as a critical node within Asia's evolving technology networks.

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DBS
Group Research

ECONOMICS & STRATEGY

Taimur BAIG, Ph.D.
Chief Economist
Global
taimurbaig@dbs.com

Mo JI, Ph.D.
Chief Economist
China/HK SAR
mojim@dbs.com

Nathan CHOW
Senior Economist
China/HK SAR
nathanchow@dbs.com

Radhika RAO
Senior Economist
Eurozone, India, Indonesia
radhikarao@dbs.com

Tieying MA, CFA
Senior Economist
North Asia
matieying@dbs.com

Han Teng CHUA, CFA
Senior Economist
Asean
hantengchua@dbs.com

Byron LAM
Economist
China/HK SAR
byronlamfc@dbs.com

Eugene LEOW
Senior Rates Strategist
G3 & Asia
eugeneleow@dbs.com

Philip WEE
Senior FX Strategist
Global
philipwee@dbs.com

Wei Liang CHANG
FX & Credit Strategist
Global
weiliangchang@dbs.com

Samuel TSE
Rates Strategist
Asia
samueltse@dbs.com

Sherilyn CHEW
Multi-asset Strategist
Global
sherilynchew@dbs.com

Mervyn TEO
Credit Analyst
USD, SGD, AUD
mervynteo@dbs.com

Dexter CHUN
Credit Analyst
USD
dexterchun@dbs.com

Tracy Li Jun LIM
Credit Analyst
USD, SGD
tracylimt@dbs.com

Ian Haan CHUI
Credit Analyst
USD
ianchui@dbs.com

Amanda SEAH
Credit Analyst
USD, SGD, AUD
amandaseah@dbs.com

Teng Chong LIM
Credit Analyst
USD, SGD, AUD
tengchonglim@dbs.com

Joel SIEW, CFA
Credit Analyst
USD, SGD, AUD
joelsiew@dbs.com

Iris GAO
Credit Analyst
USD
irisgao@dbs.com

Lilian LV
Credit Analyst
USD
lilianlv@dbs.com

Daisy SHARMA
Analyst
Data Analytics
daisy@dbs.com

Violet LEE
Associate
Publications
violetleeyh@dbs.com

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DBS Flash

India: Terms of trade pressure eases, constructive BOP dynamics

30 June 2026

Radhika Rao
Senior Economist
radhikarao@dbs.com

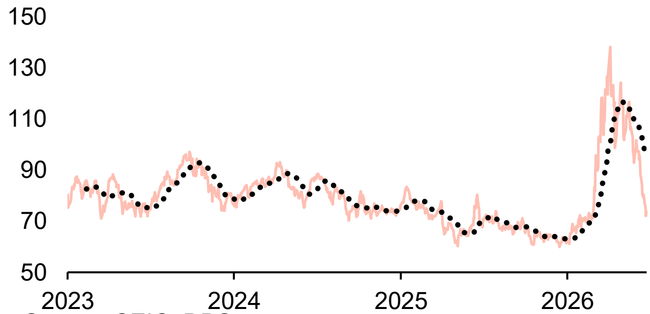
- *Global oil benchmarks are down by more than a third.*
- *This would help mitigate terms-of-trade pressures and strengthen the current account position.*
- *Host of BOP-accretive measures will help with the capital account math.*
- *Rupee is likely to benefit in the near-term, but we remain cautious further out.*
- *Monsoon watch. July-August rainfall will be important for crop output.*
- *Rate hike expectations are set to fade. We now expect an extended pause, with a downward revision in RBI CPI forecasts.*
- ***Forecast implications:** We revise macro forecasts to reflect the impact of lower oil prices.*

OIL PRICES OFF THE BOIL

Financial markets have been driven by the recent developments on the US-Iran developments, while global oil prices have beat a sharp retreat, pricing in the likelihood that peak of the geopolitical risk has passed. That said, it is too soon to conclude that conflict-related risks have been fully addressed.

A sharp drawdown in inventories, alternate fuel sources and diversion of part of the supplies from other pipeline/ port routes have helped to keep a lid on global benchmarks. Brent crude prices have retreated by about ~35% by late-Jun26, touching a four-month low, after the US-Iran signed the Memorandum of Understanding (MOU), entailing a 60-day ceasefire.

Crude Oil: Brent ($bl) & 30D MA



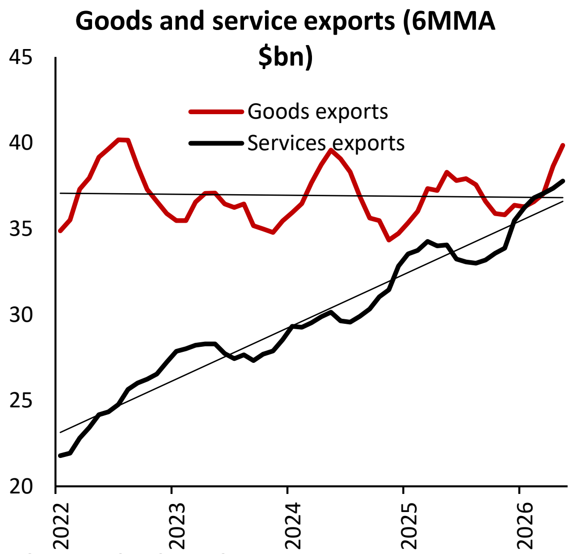
Source: CEIC, DBS

Lower oil prices have eased the terms of trade pressure on India, necessitating a relook across our macro assumptions. The key assumption behind these revisions is that the US-Iran-Middle East tensions have subsided, with oil likely to average $80-85bp in 2026, vs prevailing FY27 average at $104pb (FYTD). Any protracted re-escalation in tensions is a key risk.

REVISITING MACRO ASSUMPTIONS, CURRENT ACCOUNT RISKS EBB

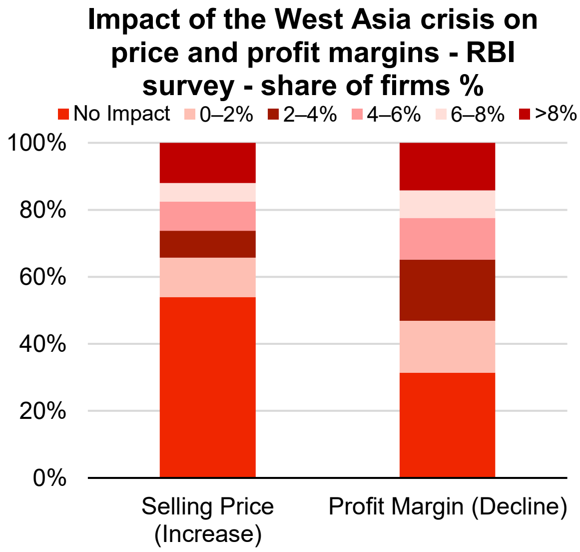
Since March 2026, the economic fallout of the Middle east crisis on overall trade has been relatively contained. Goods trade deficit between Mar26 to May26 was steady due to a combination of a sharp pick-up in nominal exports (record high in May26) helped by higher refined petroleum shipments, lower gold purchases due to duty increases and lower core imports. Diversification in export markets also played a part, with steady growth in shipments to the US and double-digit pace of increase in exports to China (25% yoy).

Average monthly trade deficit between Mar-May26 stood at $25.7bn vs $30.9bn in Jan-Feb26. Service exports have been firm, maintaining the Jan-Feb-26 run-rate, defying early concerns over AI-related slowdown in demand for software and capability centre services. **Limited deterioration in the trade account also reflected in the current account balance in April which generated a modest surplus.**



Source: CEIC, DBS

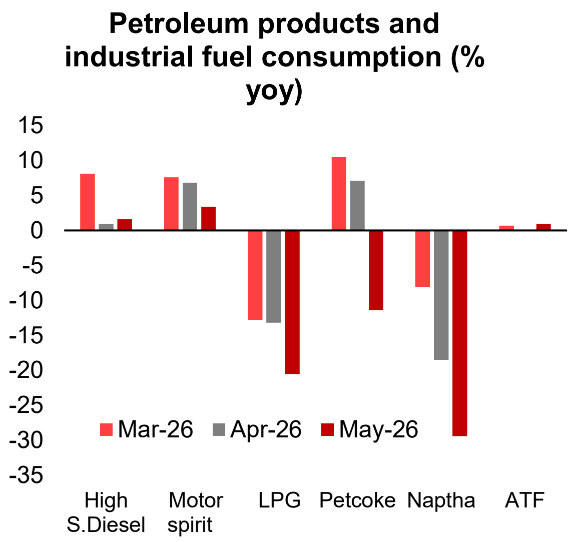
Amongst high-frequency activity indicators, the trend was mixed. PMI readings stabilised after a short-lived dip, remaining in expansionary terrain, besides resilient passenger vehicle sales, steady two-wheeler sales and firm capital production trends. PMI price sub-indices, however, pointed to an increase in producers' input costs. Results from the RBI Pulse survey – see chart – showed close to 46% of the firms surveyed witnessing an increase in selling prices.



Source: RBI, DBS

Consumption of petroleum products (LPG, transport fuels etc.) declined and industrial fuels (naptha, bitumen, petcoke etc) moderated in May. E-way bill generation and GST revenue growth also slowed, partly impacted by rationalisation moves in second half of 2025. Heatwaves and high temperatures led to a surge in power generation in 2Q26.

Meanwhile, the government plans to progress with the expansion of its strategic petroleum reserve (SPR) network, with five projects across Orissa, Madhya Pradesh, Rajasthan, Mangaluru and Padur (in Karnataka). Construction of one is likely to be awarded by end-FY27, while feasibility reports for two others might kickstart shortly.



Source: CMIE, DBS

In its sensitivity analysis, the RBI estimates that a 10% correction in oil prices, lifts growth by 15bp. With DBS baseline oil prices pointing to ~20% decrease from FYTD levels, our growth projection for FY27 stands revised up by 30bp to 6.8% yoy vs previous estimate of 6.5%. If oil prices stabilise around the lower end of our forecast range, annual growth could be closer to 7.0%.

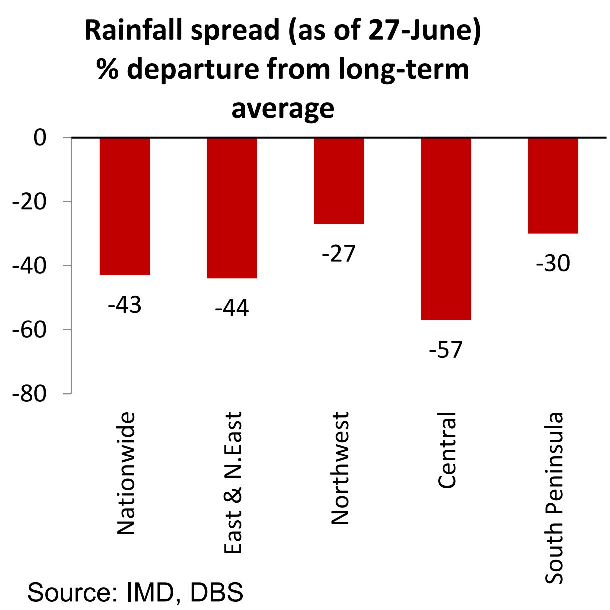
INFLATION RISKS – FUEL TO FOOD

Wholesale price index rose sharply to 9.7% yoy in May26, widening the wedge with the retail CPI inflation measure, which was at 3.9% yoy. The run-up in the WPI measure was driven by higher fuel, industrial raw materials, and manufacturing inflation, magnified by sharp depreciation in the currency, which further pushed up imported costs. While the sequential momentum will moderate, base effects and remnant cost push pressures will keep WPI inflation elevated in 2HFY27.

Retail CPI inflation has also been rising but a more modest pace since the start of the year. From average 2.1% yoy in FY26, the headline climbed to 3.9% yoy in May26, on higher food, base effects, transport/fuel and services (accommodation and restaurants). Domestic pump prices were revised by ~7% in the last month and we expect these revisions to stay to offset steep losses endured by the oil marketing companies. Improving fuel supplies, however, should have a salutary impact on LPG, LNG and fuel products.

From fuel to food. Monsoon progress will be crucial for the price outlook. IMD's updated forecast in June pointed to a 10% shortfall in this year's southwest monsoon. Yet far, the run-rate has been deficient at a nationwide deficit of 42%, with broad-based weakness across regions.

Sowing activity is keeping pace in June, although July and August trends will be key as these months account for more than two-third of the total precipitation. Adequate stock of foodgrains and satisfactory reservoir levels, also provide some comfort. As on 16-May, the rice and wheat stocks stood at 69.6mn tonnes (5.1x the buffer norm) and 46.5mn tonnes (6.2x the buffer norm), respectively. While there are ample foodgrain stocks, impact on prices/ inflation is likely to be more material in pulses, vegetables/ other perishables and oilseeds etc. **We retain our full-year inflation forecast of 4.9%.**

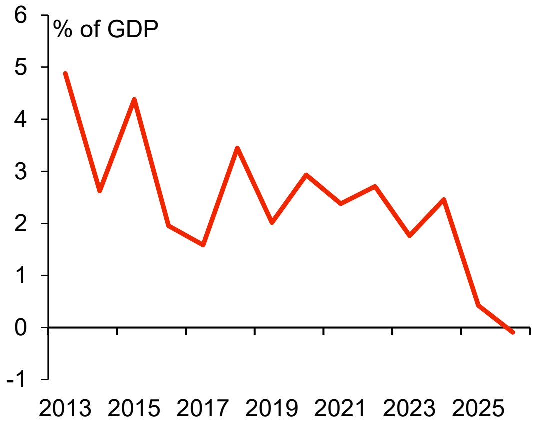


Source: IMD, DBS

CAPITAL ACCOUNT GETS A HAND FROM RBI/GOI

Weakening capital flows have been an enduring problem for the external balances for well over a year, dominated by a slowdown in foreign portfolio inflows, and narrower net FDI position. Cumulatively these had pushed the balance of payments position to a deficit in FY26, alongside a moderation in offshore borrowings.

BOP: Financing side (Capital account as % of GDP)



Source: GOI, RBI, CEIC, DBS

First quarter of FY27 proved to be a challenge as geopolitical risks and strong interest in AI-related (and value chain) stocks drew interests away from the Indian equity markets. Foreign outflows added up to -$13bn as of 24 June, while FPI debt inflows turned a corner in May-June. Net FDI stood at $6.5bn in Apr26, after totalling $6.9bn in FY26.

To support the capital account, **the RBI and government undertook a host of measures in June 2026 to shore up inflows, which included (see table):**

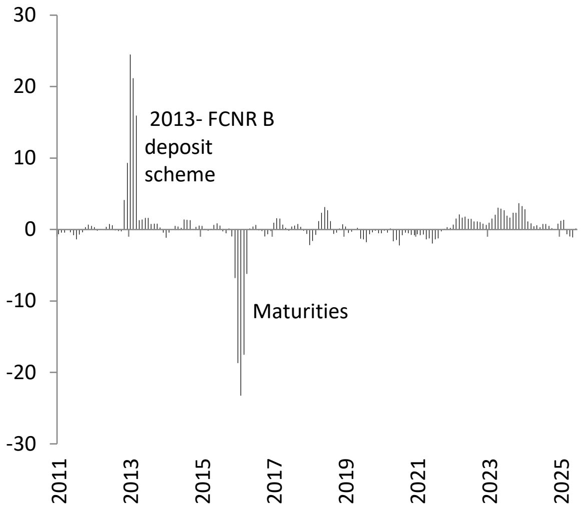
- **Expansion of FAR securities**: Universe of eligible securities under the Fully Accessible Route (FAR) was widened to include all new issuances of 15Y, 30Y, and 40Y G-secs. In addition, limits pertaining to short-term investment, concentration and individual securities on investment under the General Route were also removed.
- **FPI tax liberalisation**: Withholding tax (of 20%) and long-term capital gains tax on debt investors into FPI debt will be lifted, thereby drawing in more FPI inflow into Gsecs. This also paves the way for inclusion into other global FI benchmarks as well as adoption into the Euroclear platform.
- **Boost investment inflows from non-residents**: Limits for investment by NRIs and OCIs in equity instruments traded on the stock market without SEBI registration are being increased. This same facility was also extended to all individual Persons Resident Outside India (PROIs). This formalises changes announced by the government in the Budget.
- Concessional forex swap will be provided till 30th September 2026 to **incentivize ECBs** by public sector entities. Details on the final pricing is being awaited. Industry watchers peg the share of PSUs in outstanding ECBs at 35-40%.
- **FCNR (B) deposits**. Facility under which full hedging costs will be provided (by the RBI) till Sep26 for Authorised dealers (ADs) to raise fresh 3–5-year FCNR (B) deposits. This scheme mirrors the move back in 2013 (discounted swap; attracted $26bn in deposits and $34bn on wider concessional swap facilities) to draw in non-resident deposits but will necessitate a higher subsidy by the RBI in the context of higher US rates currently vs 2013. Arbitrage is attractive (spread between USD & INR is at ~250bp), despite being lower than past cycle. These will be exempt from CRR/ SLR, and leverage will be permitted.
- **Export realisation timeline**: Restore the time for realisation of export proceeds to nine months, from 15 months earlier. This will draw dollar flows by the exporters, helping to make trade-related flows more balanced and limit one-sided pressure on the rupee.

Measure	By	Estimated Size
FPI liberalisation	GOI	$20-25bn potential if added into global benchmarks; impact more likely in FY28
Expansion of Fully Accessible Route (FAR) to additional long-dated G-Secs	RBI	~$10–20bn over 12–24 months
Incentives for FCNR(B) deposits and NRI deposits	RBI	~$40-50bn
Concessional FX swap facility – ECBs to PSUs	RBI	~$10-15bn incremental inflows
Export realisation timeline	RBI	~$10–20 bn
Relaxation of investment norms for non-residents	RBI/GOI	~$3-$5bn

Source: RBI, DBS

To be sure, fresh deposits into the FCNR (B) deposits had been modest before this scheme (see chart). **By various yardsticks, there is reason to be optimistic at the scale of fresh dollar flows under the deposit and ECB schemes**. In 2013, when a similar FCNR (B) and overseas borrowing program were introduced, total inflows amounted to ~12.8% of FX reserves and ~2% of GDP. Assuming the same scale this year, total inflows could amount to ~$70-$75bn. With US rates, however, being higher this time around than 2013 and consequently narrower spreads, we are opting to be conservative with an assumption of $40-$50bn worth inflows. Debt-FAR category has, meanwhile, attracted strong foreign inflows of ~$5bn+ in June 2026 alone, on likely front-running flows i.e., expectations that India's eligible papers will be included in Bloomberg's Global aggregate indices in the upcoming review. Tax breaks have also been a strong draw.

FCNR B deposits ($bn)



Source: CEIC, DBS

Inflows from the FCNR(B) scheme (open till Sep26) and increase in ECBs will have **second-derivative impact on the domestic financial system**. While the FX swap makes the transaction (of incoming dollars), neutral on INR spot, rupee borrowing costs to ease, decrease in ECB funding costs for PSUs (and spillover benefits to rest), and liquidity surplus to widen, necessitating nimble market operations by the central bank. A host of institutions have also raised dollar bonds in the past fortnight, though the supply surge has led to a temporary widening in yields, resulting in a scaled back pipeline.

BOP implications

In midst of the US-Iran conflict, India's balance of payments was on course to register a third consecutive annual deficit in FY27, a first. The scale of the gap hinged on the underlying oil price assumption and risk sentiments. Prior to the cessation in tensions, our baseline forecast was for a -$65bn BOP deficit, which could potentially widen to >-$80bn if the conflict dragged on. **With the ceasefire in place and oil prices having corrected sharply, we revisit our current account (to account for lower oil, gold curbs) and capital account (RBI/GOI measures)**. We now expect a BOP surplus as highlighted in the table below.

Balance of payments (USDbn)

	FY26	FY27E (Conflict)	FY27E (Revised)
a. Current account	31.8	*80.0*	*45.0*
as % of GDP	*0.8*	*2.0*	*1.1*
Merchandise	337.0	360.0	335.0
Invisibles	312.0	280.0	290.0
b. Capital account	1.9	*9.9*	*67.0*
as % of GDP	0.0	0.2	1.7
BOP (-ve in red)	35.5	65.0	22.0

Source: RBI, DBS; Annual (-ve values in red)

FISCAL AND MARKET IMPLICATIONS

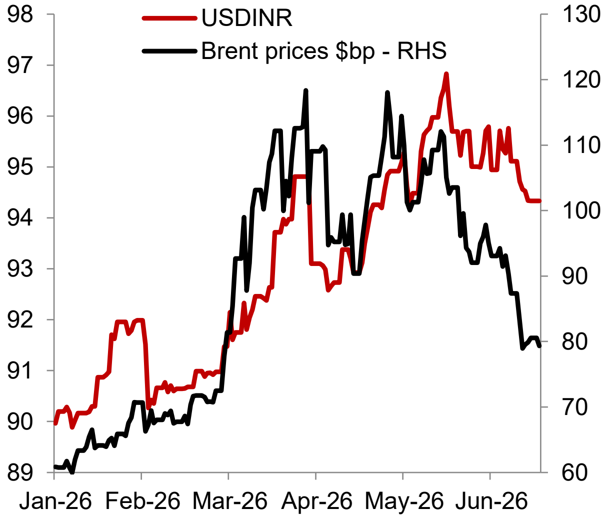
The need to accommodate higher subsidies and lower revenue growth is likely to result in a modestly wider fiscal deficit in FY27.

While a pullback in energy costs lowers the potential burden on the exchequer, we expect subsidy support to stay elevated due to the need to pick additional costs from 1QFY27 as well as offset potential impact on the rural economy from a strong El Nino development.

Factoring in a) economic stabilisation fund buffer (+0.25% of GDP), higher non-tax revenue and slightly higher nominal GDP growth, on one hand; b) on the other hand, cost of excise duty cut and higher subsidies to **result in ~0.3% of GDP slippage risk vs budgeted -4.3% of GDP**. Markets and rating agencies are likely to look past this modest slippage, factoring in the broader positive track record of fiscal consolidation at the centre in recent years.

Risk sentiment towards asset markets of oil-dependent economies benefited significantly on the US-Iran peace deal announcement. India's equity, bonds, and rupee have gained ground this month, further fuelling a turnaround that was already underway since the RBI announced BOP-supportive measures on 5-June

USDINR and Brent prices



Source: CEIC, DBS

In the near-term, there is scope for further downside in the USDINR on expectations of these flows and lower commodity prices. Further out., we expect authorities to prefer absorbing incremental dollar flows to boost the reserves position, paving the way for a gradual rise in the USDINR.

Benchmark bond yields are likely to stay capped at the short-end and 10Y part of the curve as lower oil prices lead to a reassessment in associated macroeconomic risks. Rate hike expectations have been scaled back after the June MPC minutes and recent comments from the RBI Governor where he said that rate hike talks were premature and any such intention would have pre-empted by a shift to a tightening stance in June. For inflation, geopolitics were a bigger worry rather monsoon for the central bank, in our view. **We remove our rate hike forecast for FY27** and see downside to our end-year forecast for 10Y yield forecast of 6.9%.

DBS
Group Research

ECONOMICS & STRATEGY

Taimur BAIG, Ph.D.
Chief Economist
Global
taimurbaig@dbs.com

Mo JI, Ph.D.
Chief Economist
China/HK SAR
mojim@dbs.com

Nathan CHOW
Senior Economist
China/HK SAR
nathanchow@dbs.com

Radhika RAO
Senior Economist
Eurozone, India, Indonesia
radhikarao@dbs.com

Tieying MA, CFA
Senior Economist
North Asia
matieying@dbs.com

Han Teng Chua, CFA
Senior Economist
Asean
hantengchua@dbs.com

Byron LAM
Economist
China/HK SAR
byronlamfc@dbs.com

Eugene LEOW
Senior Rates Strategist
G3 & Asia
eugeneleow@dbs.com

Philip WEE
Senior FX Strategist
Global
philipwee@dbs.com

Wei Liang CHANG
FX & Credit Strategist
Global
weiliangchang@dbs.com

Samuel TSE
Rates Strategist
Asia
samueltse@dbs.com

Sherilyn Chew
Multi-asset Strategist
Global
sherilynchew@dbs.com

Mervyn Teo
Senior Credit Analyst
USD, SGD, AUD
mervynteo@dbs.com

Dexter CHUN
Credit Analyst
USD
dexterchun@dbs.com

Tracy Li Jun LIM
Credit Analyst
USD, SGD
tracylimt@dbs.com

Ian Haan Chui
Credit Analyst
USD
ianchui@dbs.com

Amanda SEAH
Credit Analyst
USD, SGD, AUD
amandaseah@dbs.com

Teng Chong LIM
Credit Analyst
USD, SGD, AUD
tengchonglim@dbs.com

Joel SIEW, CFA
Credit Analyst
USD, SGD, AUD
joelsiew@dbs.com

Iris GAO
Credit Analyst
USD
irisgao@dbs.com

Lilian LV
Credit Analyst
USD
lilianlv@dbs.com

Daisy SHARMA
Analyst
Data Analytics
daisy@dbs.com

Violet LEE
Associate
Publications
violetleeyh@dbs.com

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DBS Flash

Singapore: GDP growth upgrade

30 June 2026

Chua Han Teng, CFA
Senior Economist
hantengchua@dbs.com

- *Singapore's economy has weathered resiliently the renewed geopolitical shocks stemming from the war in the Middle East since its onset in late February.*
- *We raise our real GDP growth forecasts for 2026 and 2027 to 4.3% and 3.0%, respectively.*
- *Our nowcast estimate shows economic growth at 5+% yoy in 2Q26, concluding 1H26 in solid shape.*
- *De-escalation of US-Iran tensions reduces stagflationary forces and downside growth risks.*
- *Sustained global AI cycle, financial services momentum, and construction boom underpin the positive outlook.*

Dialling up our growth profile

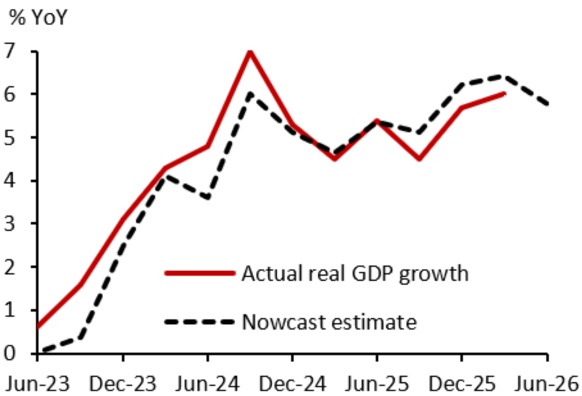
Singapore's economy has weathered resiliently the renewed geopolitical shocks stemming from the war in the Middle East since its onset in late February. Economic growth likely ended 1H26 in solid shape, providing positive carryover effects into 2H26.

We raise our real GDP growth forecasts for 2026 and 2027 to 4.3% and 3.0%, respectively (from 2.8% and 2.3%). As we enter 2H26, the managed de-escalation of US-Iran tensions, initiated by an interim peace deal, reduces the risks of escalating input cost pressures, persistent severe supply chain disruptions, and significantly weakened external demand in the coming months. We are dialling up our growth profile over the next few quarters, although this will be tempered by high base effects.

Our nowcast shows resilient 2Q26 growth

Following strong economic growth of 6.0% yoy in 1Q26, expansion in 2Q26 likely proved resilient, with our nowcast model estimating growth of above 5% yoy.

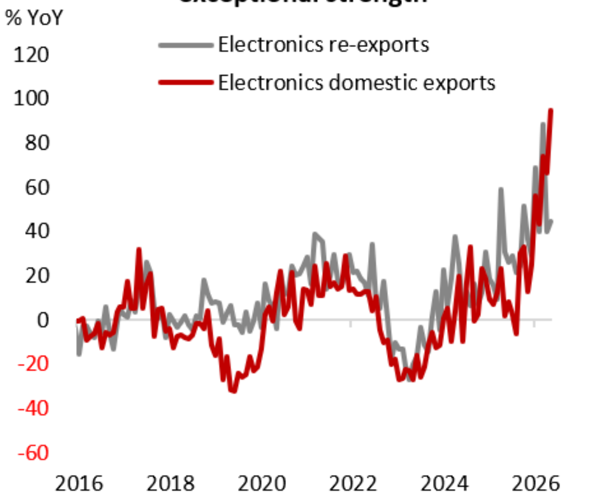
Our nowcast shows resilient growth in 2Q26



Source: CEIC, DBS.
Note: The nowcast is a model estimate of real GDP growth based on available economic data for the current quarter and forecasts of explanatory variables for the remaining term, and is not our DBS forecast.

This performance was driven notably by above-average industrial production and re-exports, reflecting robust expansion in trade-related sectors, such as manufacturing and wholesale trade, while real credit remained stable. Strong artificial intelligence (AI)-driven external demand has turbocharged Singapore's electronics exports, pushing growth to exceptional rates so far in 2026. This strength has significantly outweighed drags from the fuels & chemicals segments, as well as moderation in the transport sector, which has borne the brunt of disruptions in the Strait of Hormuz, including constrained feedstock supply and an energy price surge since March.

Electronics exports experiencing exceptional strength



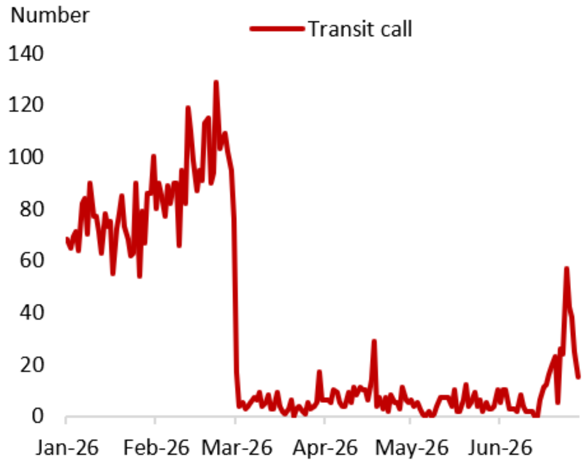
Source: CEIC, Singstat, DBS

2H26 outlook turning positive

Singapore's growth outlook for 2H26 is turning positive amid the US-Iran interim peace deal reached in mid-June to de-escalate tensions in the Middle East. Negotiations between the US and Iran are underway, with both sides establishing diplomatic channels to advance talks over the next 60 days, aimed at reaching a lasting agreement. Nevertheless, developments are likely to ebb and flow amid a fragile truce.

Maritime traffic through the Strait of Hormuz is resuming but flows of critical input supplies from the Middle East – including oil & gas – are likely to take time, possibly months, to gradually normalise to pre-war levels, as confidence in transiting the Strait rebuilds. Global energy prices have declined in response to reduced geopolitical risk premiums and improving supply. Consequently, stagflationary forces and downside growth risks facing the global economy have receded.

Marine traffic through Strait of Hormuz recovering gradually



Source: IMF PortWatch, Bloomberg, DBS

We expect Singapore's economy to receive positive spillovers through three channels.

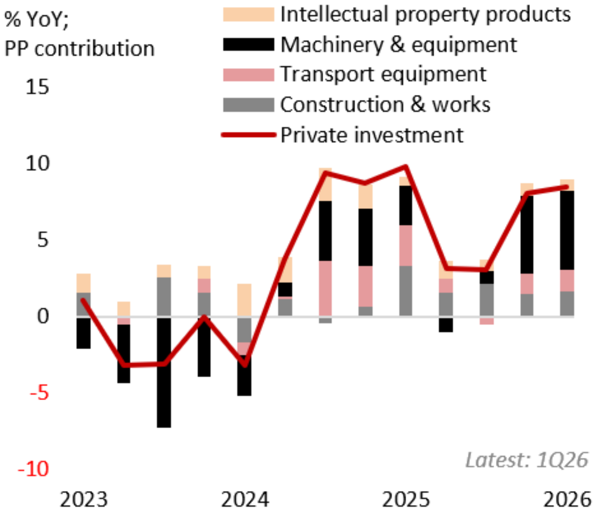
1) Financial market, business, and consumer confidence would improve with de-escalated geopolitical tensions.

2) Top energy-dependent sectors - from petroleum and petrochemicals to transport - will gain crucial relief from improved availability of imported energy and commodity inputs, enabling a potential rebound in output in the coming months.

3) The risk of intensifying upward cost pressures that could severely erode profit margins has decreased. Business investment and spending would therefore continue to keep flowing. Singapore is

experiencing a broad-based investment boom. Notably, private investment expanded for the eighth consecutive quarter as of 1Q26, supported by strength in machinery & equipment outlays.

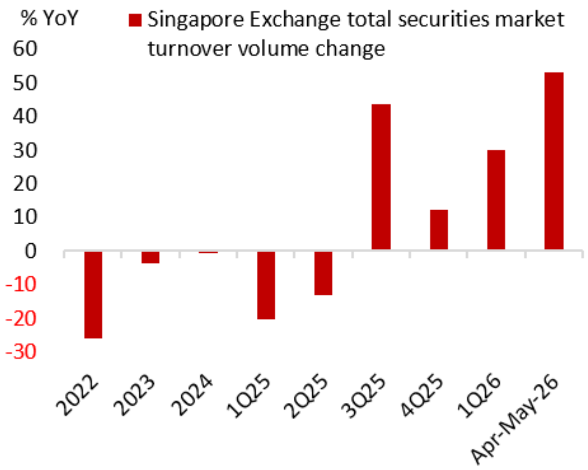
Sustained private investment expansion



Source: CEIC, Singstat, DBS

Alongside fading downside risks from the Hormuz shock, the global AI-driven technology cycle - which has propelled Singapore's stellar growth performance in recent quarters - appears to have further room to run. Durable and undiminished capital spending commitments by major hyperscalers to ramp up AI infrastructure will underpin demand for Singapore's memory chips, server-related products, and semiconductor equipment. The strength displayed by the electronics manufacturing purchasing managers' index as of May 2026 – the highest since August 2018 – points to a supportive outlook in the coming months, even if the exceptional pace of chips export growth finds a more sustainable trajectory.

Equities market sees strengthening momentum



Source: SGX, MTI, DBS

Additionally, key non-technology segments should remain resilient. We expect financial services within the modern services cluster to continue to demonstrate strength. This is supported by increasingly vibrant capital market activity backed by rising momentum in securities trading volumes, and a recovery in initial public equity offerings amid ongoing reforms. Domestic financial conditions remain accommodative, with rising equities and still-low interest rates. Flush liquidity amid capital inflows has helped limit the impact of upward pressure on local interest rates from hawkish re-pricing of US rate expectations. The ongoing multi-year construction boom, spanning major transport, hospitality, and public housing projects, is also providing an additional layer of support to the highly open economy.

DBS Group Research

ECONOMICS & STRATEGY

Taimur BAIG, Ph.D.
Chief Economist
Global
taimurbaig@dbs.com

Mo JI, Ph.D.
Chief Economist
China/HK SAR
mojim@dbs.com

Nathan CHOW
Senior Economist
China/HK SAR
nathanchow@dbs.com

Radhika RAO
Senior Economist
Eurozone, India, Indonesia
radhikarao@dbs.com

Tieying MA, CFA
Senior Economist
North Asia
matieying@dbs.com

Han Teng CHUA, CFA
Senior Economist
Asean
hantengchua@dbs.com

Byron LAM
Economist
China/HK SAR
byronlamfc@dbs.com

Eugene LEOW
Senior Rates Strategist
G3 & Asia
eugeneleow@dbs.com

Philip WEE
Senior FX Strategist
Global
philipwee@dbs.com

Wei Liang CHANG
FX & Credit Strategist
Global
weiliangchang@dbs.com

Samuel TSE
Rates Strategist
Asia
samueltse@dbs.com

Sherilyn Chew
Multi-asset Strategist
Global
sherilynchew@dbs.com

Mervyn Teo
Senior Credit Analyst
USD, SGD, AUD
mervynteo@dbs.com

Dexter CHUN
Credit Analyst
USD
dexterchun@dbs.com

Tracy Li Jun LIM
Credit Analyst
USD, SGD
tracylimt@dbs.com

Ian Haan Chui
Credit Analyst
USD
ianchui@dbs.com

Amanda SEAH
Credit Analyst
USD, SGD, AUD
amandaseah@dbs.com

Teng Chong LIM
Credit Analyst
USD, SGD, AUD
tengchonglim@dbs.com

Joel SIEW, CFA
Credit Analyst
USD, SGD, AUD
joelsiew@dbs.com

Iris GAO
Credit Analyst
USD
irisgao@dbs.com

Lilian LV
Credit Analyst
USD
lilianlv@dbs.com

Daisy SHARMA
Analyst
Data Analytics
daisy@dbs.com

Violet LEE
Associate
Publications
violetleeyh@dbs.com

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DBS Bank Ltd., 12 Marina Boulevard, Marina Bay Financial Centre Tower 3, Singapore 018982. Tel: 65-6878-8888. Company Registration No. 196800306E.

DBS Bank Ltd., Hong Kong Branch, a company incorporated in Singapore with limited liability. 18th Floor, The Center, 99 Queen's Road Central, Central, Hong Kong SAR.

DBS Bank (Hong Kong) Limited, a company incorporated in Hong Kong with limited liability. 11th Floor, The Center, 99 Queen's Road Central, Central, Hong Kong SAR.

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